

Tenneco Clean (TENNIND)

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Call: Dec 2025

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Date: 10th December , 2025

To
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Scrip Symbol : TENNIND To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai – 400001
Scrip Code: 544612

Sub: Transcript of the Earnings Conference Call for Analysts and Investors held on Friday, December 5 , 2025

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation to our intimation letter dated 2nd December , 2025 , we hereby submit the transcript of the Earnings Conference Call for Analysts and Investors held on Friday, 5th December, 2025 .

Further , t he transcript is also being made available on the Company's website at :
<https://tennecoindia.com/investor-relations/> .

You are requested to kindly take the same on record.

Sincerely,
For Tenneco Clean Air India Limited
(Formerly known as Tenneco Clean Air India Private Limited)

Roopali Singh
Company Secretary and Compliance Officer
Membership No: A15006

Place: Gurugram

Encl: As above

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"Tenneco Clean Air India Limited
Q2FY26 & H1FY26 Earnings Conference Call"
December 05, 2025

MANAGEMENT : - MR. ARVIND CHANDRASEKHARAN – WHOLE -TIME
DIRECTOR AND CHIEF EXECUTIVE OFFICER –
TENNECO CLEAN AIR INDIA LIMITED
- MR. MAHENDER CHHABRA – CHIEF FINANCIAL
OFFICER – TENNECO CLEAN AIR INDIA LIMITED
- MS. ROOPALI SINGH – COMPANY SECRETARY AND
COMPLIANCE OFFICER – TENNECO CLEAN AIR INDIA
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 and H1FY26 Earning Conference Call hosted by Tenneco Clean Air India Limited. As a reminder, all participant line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Ms. Roopali Singh, Company Secretary and Compliance Officer from Tenneco Clean Air India Limited. Thank you and over to you, ma'am.

Roopali Singh: Thank you, Arvind. Good evening, ladies and gentlemen. We welcome you to the first earnings call of Tenneco Clean Air India Limited. Today, we will be discussing the results for the quarter and half-year ended 30th September 2025. I take this opportunity to introduce the management team. I have with me Mr. Arvind Chandrasekharan, Whole-Time Director and CEO, Mr. Mahender Chhabra, Chief Financial Officer.

A presentation on the business and financial performance is available on the company's website and on the website of the stock exchanges as well. We will begin with Mr. Arvind providing a business update followed by Mr. Chhabra covering the financial results. This should approximately take about 15 minutes after which we will open the floor for Q&A session of about 45 minutes.

With that, I would now hand it over to Arvind.

Arvind Chandrasekharan : Great. Thank you. Thank you very much, Roopali. So, good evening, everybody. And first, let me start by wishing you all good health and happiness and let me be the first to wish you a very Happy New Year for 2026. Thank you all for joining us for Tenneco Clean Air India's first earnings call as a listed company. This is a very important moment in our journey and the strong IPO reception with subscriptions of over 61 times reinforces the trust placed in us by our customers, our partners, and now our shareholders.

As we begin this new chapter, our focus remains on strengthening the business through disciplined execution and building on the capabilities that have shaped our performance over the years. Tenneco India has always had a clear and simple purpose, to be the most trusted partner and the world's best manufacturer and distributor in the transportation industry. We engineer and manufacture the critical systems and products that make mobility cleaner, safer, and more comfortable.

Our product portfolio stands on two integrated pillars, clean air and powertrain solutions, where we support OEMs and increasingly complex emissions, efficiency, and durability requirements, and advanced ride technologies, where our suspension and ride performance systems play a central role in delivering comfort and handling, especially as the India market continues to premiumize in the coming years.

These pillars come together through a shared engineering and manufacturing backbone, reinforced by global R&D support with 5,000 plus patents and four decades of experience operating across the Indian automotive market. Being part of the Tenneco Group gives us the scale and engineering depth of a multinational leader, enabling us to bring cutting-edge Tenneco Clean Air India Limited

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technology and manufacturing best practices into our India operations. We have established strong market leadership across our four product categories.

In clean air, for example, we lead the market in India for commercial truck and off-highway OEMs, while in advanced ride technologies, we are number one in the supply of shock absorbers and struts for passenger vehicles. This leadership is a result of decades of manufacturing

excellence and sustained collaboration with OEMs across segments. What differentiates our model is the

way this ecosystem is structured.

We bring global R&D, local applications engineering, simulation and testing, and manufacturing together with a unique operating model across 12 plants and two R&D centers located close to OEM bases. This gives us the ability to make more affordable products, which our customers want, reduce validation costs, pursue lightweighting technologies, and enable faster time to market.

In manufacturing, we bring high safety and zero-defect process discipline in our continuous endeavor to be the most trusted partner for our OEMs. This approach has helped us build long-standing partnerships of an average of 20 years with the country's major passenger commercial vehicle and off-highway OEMs, and these relationships continue to strengthen as the platforms evolve and require more advanced content.

When we look at the broader industry, the trends are very supportive. Demand for passenger and light commercial vehicles in India is good, driven by a shift towards larger and more premium models, rising expectations around safety and comfort, and increased disposable incomes. Stricter emission standards are also raising the need for more advanced clean air and powertrain solutions across all vehicle segments. In parallel, India is emerging as an important export hub for global OEMs, thanks to our engineering talent, competitive cost base, and resilient supply chain. These shifts align very closely with our strengths and strategy to be the export hub for the world, for both third-party exports and to our global clients.

With our leading positions in several of our core product areas, our exports already reach 20 countries and are poised to grow further. Financially, we delivered a solid performance in Q2FY26 and H1FY26, with value-added revenue growing 8.9%, and 8.2% year-over-year, and clearly outperforming the served applicable market growth. Our EBITDA and PAT margins remained at strong levels throughout the period, demonstrating the quality of our earnings and the inherent resilience of our operating model.

On capital efficiency, we continue to post numbers in cash conversion cycle, pre-cash flow generation, debt-to-equity, and ROCE numbers that are industry-best-in-class. Mahender Chhabra, our CFO, will walk you through the financials and key drivers in more detail.

Now, I am also very happy to report that we have secured important strategic wins of INR98.4 billion, which is INR9,840 crores, in incremental lifetime bookings, including INR17.6 billion of exports, which is about INR1,760 crores. These are on top of the INR43.8 billion value-added revenues from FY25, which is INR4,380 crores. So, these are additive to that. So, these bookings
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include a strategic clean air business entry into a leading Japanese passenger vehicle OEM, which was previously untapped white space for us.

It also includes another major advanced ride technologies win with a prominent Indian OEM, thereby further securing our number one position in shock absorbers in India. These bookings represent lifetime value-added revenue potential from awarded programs, which are yet to start production and materially enhance the company's revenue visibility over the next five to six years approximately.

Finally, I want to acknowledge the contribution of our people. The strength of Tenneco India lies in its engineering and manufacturing teams. The engineers, the technicians, the operators, the supervisors, the managers across our various sites. They are the ones who ensure precision, reliability, innovation, and continuous improvement every single day.

As we have transitioned into a listed company, their daily dedication, the velocity of decision-making, and the tenacious execution remains the bedrock of our culture and hence our performance.

With that, thank you once again for your

time. I will now hand you over to our Chief Financial

Officer, Mahender Chhabra, who will take you through our financial performance for Q2FY26 and the H1FY26. Over to you.

Mahender Chhabra: Thank you, Arvind. Good evening, everyone, and thank you once again for joining us in today's call. Let me walk you through the financial highlights of Tenneco Clean Air India Limited for Q2FY26 as well as H1FY26, keeping the discussions aligned to a Value-Added Revenue or VAR, which is the most appropriate representation of our operating performance given the passive nature of substrate or precious metals. It has been a strong quarter and a strong half-year as far as financial performance is concerned.

I will start with Q2 first. For Q2FY26, value-added revenue stood at INR11,515 million, a growth of 8.9% year-on-year, and it has been supported by stronger customer demand across

key programs both in domestic as well as export markets. EBITDA for the quarter was at INR2,168 million, up by 5.7% year -on-year, with strong margins at 18.8%, while P AT was at INR1,507 million, up by 9.9% year -on-year, and in terms of percentage, it was at 13.1%. Reported revenues from operations for Q2 FY26 was INR12,806 million, up by 9.6% year -on-year, reflecting steady momentum across the business. Then in terms of H1FY26 , our value -added revenue was INR23,181 million, and a growth of 8.2% year -on-year, and in both the periods, Q2 FY26 as well as H1FY26, our growth exceeded the sub -markets of PV, CT, OH, and industrial, which grew 5% in Q2 FY26 and 4% in H1 FY26 , underscoring the strength of our demand profile.

For H1 FY26 , the EBITDA was INR4,457 million, at a growth of 6.6% year -on-year, with strong margins at 19.2%, and P AT for the half -year was INR3,188 million, 10.9% up year -on-year, with margins at 13.8%. For the first half, the revenue from operations stood at INR25,663 million, growing 5.2% year -on-year.

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Our profitability in H1 reflects the benefit of top -line volume growth, product mix improvement, operational and capital efficiencies, and P AT margins expanded by 34 bps year-on-year. This was aided by the stable material cost and higher interest income during the period. These factors effectively supported a sustained financial performance, both for Q2 FY26 as well as H1FY26. In terms of operational and capital efficiency, we maintained a strong return on capital employed profile and continued to operate with negative working capital intensity. Our cash conversion cycle for H1 FY26 stood at negative 22 days, underscoring the capital -efficient nature of our business model.

We continue to stay debt -free and have been meeting all our requirements in terms of capex as well as working capital to internal accruals. Further, we have very healthy fixed assets turnover ratio, which is resulting from the efficient capital investment through standardization and modular approach in manufacturing.

Looking at our segments, Clean Air and Powertrain solutions delivered revenue of INR5,702 million in Q2 FY26 , growing 3% year -on-year, while advanced ride technologies delivered INR5,813 million, up by 15.4%. This has been supported by overall volume growth and the increasing demand for dynamic suspension components and continued momentum in exports. For the balance sheet, we continue to operate with financial discipline. Operating cash flow for the H1FY26 was INR11,220 million, supported by our efficient working capital cycle. Capex for period stood at INR246 million, and that is in line with the planned investment across our facilities and our localization roadmap.

Just to summarize the financial performance, for Q 2FY26 and H1FY26, it demonstrated steady revenue growth, consistent profitability, and continued balance sheet strength. Mixed optimization and operational discipline supported

our margins, while a capital -efficient model

enabled strong ROCE and a negative working capital cycle. With that, we believe the business remains well -positioned as we move into the second half of the year.

Thank you, and with that, I would hand it over to Roopali .

Roopali Singh: Thank you, Mahender . We will now move to the Q&A session, which will be led by Arvind and Mahender . We request participants to kindly limit questions to two at a time. If you want to ask additional questions, please rejoin the queue. I will now request the moderator to please commence the Q&A session.

Moderator: Thank you, ma'am. Ladies and gentlemen, I would like to read the call disclaimer before we proceed with the Q&A session.

This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions, and expectations of the company as on the date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

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We will now begin with the question and answer session. Our first question comes from the line of Ravi Gupta from InCred Capital . Please go ahead with your question.

Ravi Gupta: Thank you for the opportunity and congratulations on the great set of numbers and the bumper listing. So, my first question is related to the export order book. Could you please help us understand the execution timeline of it and also outline which products are part of this order and

the key market or the location you'll be supplying to? Thanks.

Arvind Chandra sekharan : Hi, Ravi. It's nice to meet you. So, yes, so very good question. Look, like I said, we've had a very, very good order booking cycle . If you look at our order booking formula, everything that's not in production and has been booked as of September 30, 2025 . And these are lifetime revenues . Typically, an order booking program life is five to seven years. Obviously, commercial trucks might be a little bit longer. Some might be a little bit shorter. So, overall, five to seven years. Exports order book comes in two parts. One is the exports to third -party OEMs, and the second one is exports to our own, Tenneco India exporting back to Tenneco Global.

Right now, the good thing is we're getting exports on both sides, Clean Air and as well as clean air powertrain as well as NRS, which is these advanced ride technologies business. So, we are booking business fast. A lot of the bookings are coming from third -party exports. Obviously, I cannot reveal the customer names because we don't have the permission yet. But suffice to say that exports is going to grow much, much, much faster than our domestic business simply because they're starting from a low base.

If you remember our roadshows and press conferences, we always said, look, we started from a low base of only 5% product exports. And now, if you look at our Q2 FY26 numbers, we're already somewhere around 7% or 8% . So, that percentage of exports as part of the total pie is growing slowly.

And the other great thing about exports is exports are coming in at nice margins. And as the nice margins come in, the product mix will also help us improve our margins over time. Now, typically, it takes about a year, year and a half to kind of get the product validated, propagated, and into production. So, you would expect to see a lot of this start to come in late FY26, FY27, FY28, and so on. That's why it's because we have a longer sales cycle.

So, obviously, I cannot give specific customer names and so on. But all I would say is they are great. They are growing faster than domestic business at a very high cadence. They are more profitable. And they include both clean air parts and the advanced light technologies business, including full products as well as you can call it semi -fin

ished assemblies, components.

So, for example, advanced ride technologies, there will be products like rods and center parts that will actually benefit even our European brothers and sister divisions to be more competitive. Tenneco Clean Air India Limited
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as they buy from us and then sell back to their audience, right? So, that's also another area for growth.

So, third -party exports growth, can it go India? Can it go global in terms of full finished goods as well as semi -finished sub -assemblies or components? So, that's why it's so exciting for us because India obviously has labor arbitrage . The advantage of the lower labor cost and also, we are, because of technology equalization .

Five, ten years ago, India was always behind technology. But now, in both clean air powertrain and in advanced ride technologies, if you look at what products we sell to our local OEMs , in clean air, for example, which is BS 6.2, the same product with same technology and the same legislation can also be exported to Europe as part of Euro 6, right? And their own version of real driving emissions.

Same thing on the shock absorber advanced light technology side, right? We can also export the same technology like a semi -active suspension that we're selling to our Indian OEMs also to our European OEMs. So, it's a very exciting period for us and thank you for asking the question, Ravi.

Ravi Gupta: Thanks for the detailed explanation. My second question is in regard to the margin. So, what was the margin for the clean air segment and the advanced ride performance segment in this quarter? And also, if you can share full year guidance or directional outlook on the margin front. Thanks.

Mahender Chhabra : Okay. So, Ravi, hi. So, as far as BU margins are concerned, we as a management team have not yet clues on that. We would be disclosing the margin at an overall level, not at a BU or segments level. So, that's about the margins at a business level .

In terms of the full year guidance on the margins, so, as you know, we have got listed very recently. There are certain costs related to operating as a listed public limited company, for example, management costs, director fee, compliance costs, and other costs related to legal IT and all.

We expect EBITDA to be a bit soft, but with increase in the revenue in the coming years, these additional costs will get absorbed as we progress and we come back to the same levels. Hope that helps.

Moderator: Thank you. Our next question comes from the line of Vipul Agrawal from HSBC Bank. Please go ahead.

Vipul Agrawal: Hi, sir. Thank you for taking my question. My first question is on the capacity expansion side, like you highlighted earlier that you'll be extending capacity, almost doubling the capacity over the next three to five years. So, can you just talk about where are we right now? And if you're putting up new plants or expanding in the current capacity, maybe separately on clean air and suspensions both?

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Mahender Chhabra : Yes. Thanks, Vipul, for asking the question. So, good news is the order book visibility that we have and that we have disclosed. So, considering growth plans and order book visibility that we have, we will be investing more in the capacity expansion. I mean, in the expansion towards the capacity and also in the expansion related to technology.

We know, like, specifically in advanced ride technologies, the things are moving from conventional to semi-active suspension systems. So, we'll have to invest towards that as well. So, we would be investing in line with the growth plans that we have, including putting up the new plants in the coming years.

Arvind Chandra sekharan : Sorry, Vipul, just to finish that. Also, some of that capex growth, will also come from transfer of capex from other Tenneco regio

ns into India, simply because we can make it much cheaper and more affordable out of India. So, that way we get the benefit of the lower capex.

So, that's one of the reasons why, if you notice, our C A numbers are always very, very high, Very exciting, big, nice numbers. So, it's a combination of normal volume growth of India, which is the expansion capex, then there is technology related capex as we get into more advanced dynamic suspension. For example, or into, like, gasoline particulate filters for capex.

And the other thing is the capex transfer that happens from moving a lot of equipment from maybe Europe and other regions to India and then exporting back from here. And that, again, is a nice margin, and we're very excited about that as well.

Mahender Chhabra : Yes, and just to add to that, like, look at the way we do the capital investment, if you look at the way our FAR is. So, our capital investment has always been pretty efficient through standardization and modular approach. And since we do not have any debts and we're kind of getting decent accrual cash flow accumulation, so we intend to make all the capex requirements in the coming years from our internal accruals.

Vipul Agrawal: Yes, understood. So, thanks for that very detailed answer. Next question is on the export side, like, will you be disclosing your exports numbers in going forward, like, maybe separately for, like, you gave revenue numbers for clean air and suspension separately. Would it be possible to give separate export numbers as well for the sector of both segments?

Arvind Chandra sekharan : Yes, I think that's not a bad idea. I think that's a good suggestion. I think we can look at it. Right now because we are just starting our journey, right? I mean, exports, if you remember, if you remember, Vipul, if you remember from the roadshows and the press conferences, historically with Tenneco, if you go back, let's say, a decade, exports was never a focus. It was always local for local, right? It was Europe for Europe, US for US, China for China.

Now, for the first time in Tenneco India has become Tenneco India for the world. So, which means we export. If we are competitive, we get to export to third-party OEMs and we also get to support other regions from, to enable them from being competitive, right? So, that Tenneco Europe benefits from having Tenneco as a supplier of anything from sub-assemblies to components to even for finished parts, right?

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So, at some point, I think when we get some critical mass, let's, we could possibly separate that. In any way, right, it's a very exciting story for us and that's what makes us grow our business much, much faster because it is like the labor advantage plus technology equalization.

And also, don't forget, many customers themselves, if you look at the Western OEMs are all pushing forward India to be an export base. So, by default, the business is being forced to come to India just because Western OEMs are asking for a contingency planning. So, they want to diversify their supply chain risk.

So, that also benefits us. So, I think all of this makes it very exciting. So, very good question. Let's think about it. I think it's not a bad idea, but let us gain some critical mass. Once we have some good bookings, we're starting to see a lot of export bookings. So, I think once that solidifies

into a nice number, we could possibly separate that and show that in future earnings.

Vipul Agrawal : Actually, that would be really, really helpful if you can give your order book as well in Clean Air and ART division. That would be really helpful just to understand because both businesses are very different in nature. So, that would be really helpful.

Arvind Chandrasekharan : Understood.

Moderator: Our next question comes from the line of Jeemit Shah from Motilal Oswal Financial Ser

vice

Limited. Please go ahead.

Jeemit Shah : So, a couple of questions. Largely on the order book side. So, the INR9,800 crore s order book majority from the domestic. So, number one, this is because we have certain projects from the Japanese OEM in the India business.

So, is that a major chunk of potential businesses that we can get from them? I'm just trying to assess that. Is there potential to significantly increase our order in that specific OEM's wallet share?

Arvind Chandrasekharan : Yes. So, first of all, the INR9,840 crores , that is lifetime revenue. So, it represents all booked business before September 30th, 2025 that are not yet in production . And it is a pretty long laundry list of many, many acquisitions or many, many business wins.

The reason we called out the Clean Air business win with this Japanese OEM is because it is so strategic for us that getting a foot in the door of this OEM opens us up to a huge opportunity in terms of growth, in terms of market share . The fact that this customer said, okay, you can be part of our supplier panel gives us that entry. So, yes, to answer your question, huge opportunity for growth in Clean Air because of the strategic.

That's why we call it a strategic win in the white space. White space is an area where we've never been allowed to play in for whatever historical reasons. But now that we are a team member of the panel, we are allowed to play and also grow and participate in RFQs, etc etera . So, this is a huge win for us. The other win being consolidating our position at a very well -known Indian OEM for shock absorbers. So, we are basically constantly inching our way up the market share .
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We are already number one in shock absorbers. We're kind of taking it to the next level slowly adding a few percentage points of market share is what's happened. I think shock absorbers were already about 52%.

You would have seen from the DRHP to the RHP that 48% has already gone to 52% market share, which is again from CRISIL . So, CRISIL has given us that number. So, anyway, I think to answer your question, these wins are very strategic and allow us to grow faster in the next few years.

Jeemit Shah: So, is it fair to assume that these orderings are not counted in the lifetime order books?

Arvind Chandrasekharan : No, no, they are. They're all part of the INR9,840 crores. The reason we just called them out is because these two wins have the ability to take us further into the panel in a bigger way . Some order books are more, let's say, visible and successful product than others .

Jeemit Shah: Yes. Secondly sir, on the exports front, more of a growth thing. So, we're expecting the exports growth to be much, much higher than the domestic growth . So, is this growth that we're expecting largely because they're consolidating the global operations in India and making India the exports hub or is it incremental order wins in the wallet share of existing customers around the globe?

Arvind Chandrasekharan : You know, it's all of the above. Let's start with third -party OEMs . Third -party OEMs are pushing for a supplier -to-build. By the way, some of it is not even to do with cost . It's global OEMs, Western OEMs saying that, hey, Te nneco, we want you to put more business into India because we want to source product out of India fo r export to either an infant client at the customer or a full assembly plant at the customer .

So, this is coming from an edict from the customers themselves saying we want to use India as an export hub . So, this way you can call it a China Plus One or sort of a diversification strategy, and this comes from post -COVID when there was a big supply chain issue.

If you remember, the years after COVID, there were huge supply chain issues and they don't want to be in that situation anymore. So, why is India a great export hu

b? One, it's access to

engineering talent, access to operational talent.

India scales much better than any other country other than China . And also, the ability to source raw material, ability to get affordable prices, affordable costs. So, that is d riven by third -party OEMs.

Now, even internally, to answer your question, there is going to be consolidation of the technical group, but don't forget the technical group is a \$17 billion company, in terms of total revenues

and in terms of value-added revenues around \$14 billion or so.

But still, \$14 billion compared to our side, we are only about \$500 million versus the corporate value-added revenue of \$14 billion. So, there is a lot of opportunity for consolidation. There is a lot of opportunity for labor cost arbitrage. There is a lot of opportunity for bringing business to India and using it as a mobile hub, an export hub to support our own Tenneco operations in Tenneco Clean Air India Limited

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Europe and the U.S. to help them become more competitive. Don't forget that even Western OEMs are putting a lot of price pressure.

Price, is all about cost with the latest technology. So, we in India can be a very good supplier of these either component, subsystems, assemblies, and even finished product. And our job, right, my job is to make sure we are technology-ready, and luckily, we happen to have excellent R&D centers.

We have two state-of-the-art R&D centers for clean air, a power plant, and for suspension, what we call advanced ride technologies. And because of the strength of the local engineering team, the applications engineering team, we are able to deliver these kinds of mandates even coming from our Tenneco Group to us saying, okay, can you make this product at a certain price? And we're able to deliver that. So, those two put together give us excellent export attraction in the next few years.

Jeemit Shah: Just a clarification, would it be possible to share out of the INR70 crores, INR 50 crores that we've booked currently in this quarter for exports and all the wins, how much would it be from third party and from the Tenneco Group Companies?

Arvind Chandrasekharan: I guess we have not reported that. We can think about how to report that. But roughly, I'm telling you, the growth is coming actually on both sides equally. Don't forget that this is just not an advanced ride technologies business. Because of technology equalization, right, the same BS 6.2 with RDE, what we supply to the, let's say, commercial trucks or even OEMs, Indian OEMs, the same product can be exported back to Europe.

So, even clean air and even powertrain has a lot of potential for export. So, I think in that 70-60, I mean, I wouldn't be able to tell you the exact numbers, but let's put it this way. The growth is coming from both engines nicely and coming both from third party OEMs and from our own domestic, let's call it Tenneco India to Tenneco Global. So, it's firing on all cylinders, I might say.

Moderator: Thank you, sir. Our next question comes from the line of Pradip Pandey from Axis Capital. Please go ahead.

Pradip Pandey: Hello, sir. Thank you for taking my questions. I had two questions. One was on precious metal cost, which has been on the rise since the middle of Q1. And since your royalties are linked to revenues from operations, what impact do you see on margins in that sense? That's one. And so, okay, let's first go ahead with one and then I'll ask the second question?

Mahender Chhabra: Yes, sure. So, as we know, like, the subtrates are a pass-through, which we buy at the direction of the customers and we recover the money from the customers. I mean, it doesn't really impact the profitability in terms of EBITDA absolute, but yes, in terms of EBITDA margins, it makes our profitability look, gives the right picture.

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Now, in terms of royalty, we are paying 2.5% royalty to our corporate, which is kind of, this being a related party transaction, it has been, there has been a benchmarking that has been done. It has been evaluated by an independent third party and approved by the Independent Board. Now, in terms of this royalty, yes, we know that we have been paying this royalty on the overall revenue from operations. And the benchmarking was done considering that we would be paying royalty on the overall revenue and not on the VAR.

To answer your question, the impact of margin is little to nothing. Because, first of all, precious metals content itself is a small part of the total. And on top of that, the 2.5% of that delta is going to come to nothing, right? So, if you just do the mathematics, it's really not, it's nothing. And plus, don't forget in return for just that 2.5%, which is fairly middle of the fairway for royalty, there are companies, MNCs that are as high as 5, 6%. So, 2.5% is fairly average. And for that, we get access to thousands of patents.

And the fact that we are able to win all of this technology, new technology business, the win that

I put in the press release is purely because of the access to technology that our corporate parentage gives us, right? So, the benefits are far, far more than the small royalty that we pay up. That's my point. Yes. Thanks.

Pradip Pandey: Yes. Understood. The second was on the EBITDA for last year. So, we reported 18.6% for the full year. And as I see the first half EBITDA margin is 19.5. So, is there an element of seasonality in the margins or was there some higher margin that were done in the first half? That is why we see the margins to be slightly subdued in second half?

Mahender Chhabra : Yes. So, yes, our margins in first half have been really good. And if you compare to the previous year where we were at 18%, we are better off. Now, in terms of the guide, I mean, one of the main reasons for that has been the increase in the exports, where we got really good margins on those exports.

In terms of going forward, like I said, we have become a public listed company now. There are certain costs that are related to running such an organization. And for example, the cost of the senior management, compliance, leverage related costs. So, we would be incurring these costs and EBITDA margin could be a bit soft in the next couple of quarters.

But as the business grows, we would be able to absorb these costs with the incremental revenue and the margins that we make. And we should be coming back to the same levels.

Moderator: Thank you. Our next question comes from the line of Himanshu Singh from Baroda BNP Paribas . Please go ahead.

Himanshu Singh: Yes. Hi, sir. Thank you for the opportunity. So, can you please highlight what is driving the performance at the ART segment? And what is the mix of different type of tech within the ART segment?

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Arvind Chandrasekharan : I can sort of start it off in mind that if you want to add anything, right?

Arvind Chandrasekharan : So, Himanshu. Advanced ride technologies in India right now, 95 % plus of the business is conventional shock absorbers, right? And these are fairly commoditized. Everybody uses them and has been using them for decades. What's happening in India right now is a massive disruption, okay? I think primarily driven by benchmarking that's done by our Indian OEMs finding out that their competitors overseas are able to make advanced suspension in vehicle prices that are quite affordable.

So, this is like an eye -opener. And this has prompted several of our top Indian passenger vehicle OEMs to really start thinking about what, if we don't disrupt ourselves, then we're going to be in trouble. And in India ride handling, comfort while sitting in

a vehicle is the last remaining area for disruption. So, we've had everything.

We went from small cars to SUVs. We went to connectivity and Bluetooth. We went to excellent interior, sunroof, ADAS has come, emergency braking, but that last remaining frontier happens to be advanced ride technologies. So, as advanced ride technologies have come in, as you move from conventional to like a frequency dependent damping, which is still mechanical.

But then you move into like an active or a semi -active or an active suspension, which requires more electronic controls, you find that the basic shock absorber accessory or paraphernalia grows. So, the content per vehicle starts growing dramatically and even more so when it comes to an electric vehicle because of the way the vehicle is dense and it's got a bigger, like a lower center of gravity, it needs a more robust suspension.

So, the point I'm making is that as the technology roadmap advances from a basic conventional shock absorber to a more active suspension and that's happening very rapidly. In the next few years, you're going to see everybody and their brother, every OEM trying to push this in a big way because they have to keep up. It's a survival thing.

Our margins will also track up simply because there are not that many suppliers out there who can provide such advanced technologies, including electronic controls, who can systems integrate, etcetera. So, we have that natural advantage and the best news is these technologies are already pre -validated. They are proven technologies.

We are not coming in and we're not like using the customer as a guinea pig. We are already bringing in something that works elsewhere in another region. So, I think from that standpoint, we're excited because the growth rate of advanced technologies, because of the fast disruption, is going to be faster.

It's going to take us to a place of higher margin because there's not that many competitors, at least for now and the fact that we have a higher velocity of execution. Why? Because we're the same company. We don't have any joint venture between us and the technical group. It is literally me calling up my boss and saying, hey, I need this technology here to localize very quickly.

And with the strength of our local Indian applications engineering team, we're able to bring that

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it now. They want the advanced technologies now and they're not willing to wait for like two or three years. They want it like within months and we're able to do that uniquely. So, that's sort of the answer to your question. So, yes, margins will go up, but it will take some time, but the adoption rate will be faster simply because it's a survival thing for our OEMs.

Himanshu Singh : Okay, thank you. And how much was the listing expenses and which line item you have included that in?

Arvind Chandrasekharan : So, the listing expenses were to be borne by the selling shareholders, so that's not part of my P&L.

Himanshu Singh: Okay. And sir can you highlight what was the growth on the export side for this quarter?

Arvind Chandrasekharan : So, we don't have the growth number because we're not publishing the growth, but I think that's like the early -- if you were there earlier, there was a question earlier from one of the people that we should call our export separately. Right now, it's still a very nascent stage, but it's growing very, very fast. So, I think for a future earnings call, we might call that out separately and we might also publish growth rates, etcetera, that would be kind of nice to do. So, we'll take notes here and we'll make sure that we have something on export growth as well.

Moderator: Thank you. Our next question comes from the line of Rahul Ranade from Goldman Asset Management.

nt. Please go ahead.

Rahul Ranade: Yes, hi, sir. Thanks for the opportunity and congratulations on the successful listing. Just one kind of follow-up question on one of the earlier comments. So, what kind of headwind should we kind of expect in terms of the margins given the listing compliance costs, etcetera., that you talked about as one of the reasons for margins being muted going forward for the near term because generally, such cost at least doesn't kind of show up to be a material headwind for many of the companies that go IPO. So, I just wanted to understand that bit?

Arvind Chandrasekharan : So, I'll start and maybe Mahender you can add. So, look, there are two different costs. One is the listing itself and that was paid for by the Apollo, the promoter as well sorry the promoter selling shareholder. This cost, what we're talking about, which has a sort of a soft impact on EBITDA is because of the fire of new leaders.

New leadership, there's also strengthening of HR, IT, finance, because once you go to a public entity, you have to hire certain key resources to manage things like compliances and HR-related labor laws, etcetera. So, you are held to a higher level of scrutiny, which requires you to add certain headcount and at last, of course, there is also auditors and external consultants and advisors and so on.

So, these are sort of cost additions that happen when you move from a private to public entity. However, having said that, once we add these costs, they will be pretty flattish, because the revenue growth will absorb these costs nicely. So, it's just a matter of a few quarters when the revenue growth catches up and we're able to absorb this much better.

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But it's not material enough where you have to panic or anything. It's very, very minimal. We are adding leadership very carefully to make sure that we meet the needs of a public entity from a board and SEBI, etcetera perspective. But at the same time, we're going to stagger it over time so that it doesn't hit us severely in any specific quarter.

Our headwinds are more about the general market. What happens to commercial trucks. For example, the road infrastructure, we're going through a 5-year low and commercial trucks don't seem to be growing in a big way. Or maybe there's a slowdown in the passenger vehicles, especially the B, C, D segments.

Our headwinds are more to do with the market and how that market will behave. There is also potential, some headwinds around this labor code announcement, but that just happened a few days ago. So, most companies around India can't figure out what this means for us, right? So, every company will be affected by these new labor laws.

So, our headwinds are more macroeconomics-related that affect everybody, not just us. We're not so worried about our own internal growth strategy simply because, like I said, we are already winning a lot of market share. We are growing with new technology with the OEMs, and we're also growing exports. So, all of those three are areas for growth for us.

And of course, you know, white space, there's a lot of white space still that is untapped between

clean air powertrain as well as advanced ride technologies. Mahender, you want to add something?

Mahender Chhabra: No, I think Arvind have covered everything. I mean, the cost of running a public limited company, like Arvind mentioned, one, we have been careful in kind of finding these costs, and this will come over a period of time.

And by the time we get these costs in our P&L, we have kind of already the revenue and profitability, we'll be able to absorb these additional costs. So, we don't see any major impact on the P&L on some of these costs. But yes, these are essential costs that we need to incur.

Rahul Ranade: Sure, sure. No, that's helpful. And just wanted one more clarification in t

erms of what's the

internal understanding in terms of the timelines for the tractor emission norms, because I understand that is one, you know, kind of meaningful trigger for us in terms of our clean air business. So, what's the current understanding on that?

Arvind Chandra: So, great question. Now, look, it depends on when the norms happen, right? So, TREM 5 is where we have our strongest position, right? Because TREM 5 forces a oxycat and a particulate filter where we are very, very strong. So, we're just waiting for the legislation to come in. It might be FY27, it might be early or later FY27. We think it'll be around 2027. And that's when those norms will very positively impact our sales revenue. We are, like I said, every time a legislation changes, or there's complexity, we come out on top.

And this is the history of Tenneco. We have grown our market share over several years purely because of legislation where we can meet the affordability criteria, right? We can reduce weight.

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We can make it lightweight. We can respect the packaging environment of the customer vehicle architecture. And we can deliver faster time to market.

Time to market is so important for the OEMs. So, because we resonate on all of these four or five key dimensions, our ability to win every time that the legislation change, it becomes much, much stronger. That's how we have captured market share.

Like on commercial trucks, we are meeting the market there as well, right? Very, very high market share you would have seen in our RHP as well. So, I think the timeline, I couldn't tell you, it really depends on when this legislation will be announced. I think, again, somewhere around 2027. But once that comes, then we are in very good shape because then we will have a lot of content growth for clean air within TREM 5.

Rahul Ranade: Sure, sure. And try to assume that this forms part of our order book that is chosen? The TREM 5?

Arvind Chandra sekharan: Yes. There are lots of, there are TREM 5 order books in here as well, yes. Good observation, yes. And it will continue to be. I'm just saying, the order book is just the snapshot in time. So like after September 25th, we will still be booking lots of business. So, that's already set in motion so that there will be more legislation-related bookings.

Like for example, CAFE norms There will be still more CAFE norms-related bookings for passenger vehicles. There might be something around BS7 for example, if they do a watered down BS7 it's pulled ahead. I've heard about some discussions around then pulling ahead some of these legislations forward.

So, if that happens, then we will be growing our content per vehicle there. And same thing on the shock absorber, advanced ride technology side. So, depending on how quickly the OEMs want to disrupt themselves in the comfort area or, let's say, dynamic suspension area, we will be there to support them.

Moderator: Thank you. Our next question comes from the line of Jeemit Shah from Motilal Oswal Financial Limited. Please go ahead.

Jeemit Shah: Thanks for the opportunity again, sir. Just circling back to the exports front, is there a particular timeline that the management or the promoter has in mind to kind of consolidate the plans into India?

Maybe the customers are pushing for it, maybe we want to leverage the recent listing to have a stronger growth impact by manufacturing more over here and shut down a couple of plants overseas which are more, I mean, less cost-efficient.

Arvind Chandrasekharan: So, one of the core values of our company is organizational velocity and tenacious execution. These are the two main values. And you wouldn't have seen values like that in any other company, right? So, we have a very interesting set of values. So, organizational velocity really talks about what it takes a company 3 years, you k

now, months.

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For us, it takes weeks. We make decisions very, very fast. And tenacious execution means the high level of accountability and transparency and the discipline, the daily discipline that comes with executing, right, a program or a task.

If you look at our group performance, just forget India for a second. If you just look at the Tenneco Group, they've made an amazing transformation at the group level. So, India's success, right, the Tenneco India success is a subset of the fantastic success that the group has also had. And you can go online and check what they've done to their EBITDA margins in just 3 years. It's insane how wonderfully our global CEO, Jim Voss, and the Executive Leadership Team have led this company into one of the best transformations in the auto industry, right? And India has also done very well in the last 3 years. We've achieved very nice EBITDA margins.

So, I think to answer your question, that high velocity and, disciplined, tenacious execution will ensure that looking at a clean sheet approach, we are always looking at ways in which we can make a higher enterprise value for our overall Tenneco Group. And if that means moving more business to India quickly, we will do that. And this is happening already. I can tell you that. All right.

Now, in terms of third-party OEMs, yes, there's a push, but there's also, you know, it takes some time to test the product, validate the product, homologate the product, because now you're moving, let's say, the same part from Europe to India, and then it has to be validated, and then you have to check all the logistics and etcetera.

So, that takes a little bit of time. But I'm just saying that from the fact of using India as an export hub, there's a tremendous drive from our Western OEMs to push more and more business to India.

So, those two, the Tenneco internal need to achieve higher enterprise value that automatically puts India in a very favorable spot from the labor arbitrage standpoint, and secondly, OEMs, customers themselves pushing to say, hey, I want this out of India. I want to have a supply chain diversification, which is not just cost, but also contingency planning from a supply chain standpoint, right?

So, all those will help our exports go faster. I cannot tell you, whether it's going to happen, in two years, three years, four years. All I would say is that the velocity is there for both sides to happen, from the internal Tenneco group as well as the third-party OEMs.

Jeemit Shah: Sure, sure, sir. So, secondly, on the Advanced Ride Technology system, sir, you mentioned that all of the Indian OEMs are trying to go for more of a semi-automatic from a mechanical suspension point of view. So, are there any tangible things that we can track? Maybe RFQs, the change in RFQs as a percentage, like, let's say, if there's an X number of RFQs, which are for advanced semi-automatic technologies, where are they now? Like, is it a 2X or a 3X increase in RFQs? Are the OEMs also trying to track, you know?

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Arvind Chandra sekharan : I think what you're saying is, is it possible to get better RFQ visibility on the technology disruption that's happening, right? So, look, the technology disruption is already set in motion. And you know, I won't take the name of the customer, but you can just YouTube this or Google it, and you'll know who's leading from an Indian OEM standpoint. It's very clear.

I think that disruption has already started. Already conventional shock absorbers have given way to more, like, frequency-dependent damping. And that's already starting to become more transient as semi-active suspension started to take off, right?

So, we're taking this very seriously. We want to localize this and bring this to the Indian OEMs as q

uickly as possible. So, I think, all I would say in this is that, all it takes is one Indian OEM to say, you know what, I'm doing this. And their main marketing blitz is all about the ride quality, right?

Ride quality, comfort, convenience, and that's the fact that we are making this the main differentiator for our end user, which is the car drivers, and the passengers and so on. So, for us, that itself means that all the other OEMs who are either fast followers or slow followers, they will have to do it.

Otherwise, they will be left out from a marketing perspective. You don't want to be the last remaining OEM that says, I still sell basic shock absorbers from the 1990s or 2000s, right? So, you have to get a move with the times. And global technology has already moved in that direction. In China, for example, they've already moved to dynamic suspension. So, I think that thing is going to get disrupted really fast.

Whether we can give you exposure or not, we'll have to discuss that, because a lot of these are confidential RFQs. But we'll tell you, I think whenever we book something that is new technology, or let's say a disruption

We will make it apparent through an order book announcement, maybe once every six months or so, because these things, they have their own timelines in terms of getting the RFQs, coding, winning business, et cetera, right? But we'll figure out a way to kind of through our order book to give you some understanding of what that is.

Moderator: Our next question comes from the line of Pradyumna Choudhury from JM Financial Family Office. Please go ahead.

Pradyumna Choudhury: Yes, hi, thanks for the opportunity. So, if I look at your two segments, the growth in clean air and powertrain solutions was in 3% Yoy, right? So, that's actually slightly underperformed the end industry. So, what would be the reason for that? And like, how, like, what really is the growth expectation here? Would this segment also pick up? Or it would largely grow in line with the industry?

Arvind Chandra sekharan : Yes, look, don't look at it just as a quarter, right? Look at the clean air part, and you have to zoom out, right? You have to zoom out and look at the bigger picture. So, there will be exports, there will be more growth happening in the near future. So, it's more of a quarterly thing. And Tenneco Clean Air India Limited
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again, you have to remember that in some cases, like, because of this AC cabin requirement, right?

Many OEMs pulled ahead a lot of their volumes to Q1, because they wanted to sell as many vehicles as possible without the AC cabin. Because the AC cabin means you have to pay another, I don't know, INR60, INR70, INR80,000. So, I think before that legislation kicked in around July, August, a lot of the commercial truck OEMs pulled ahead.

So, you'll notice that our CAPT probably did better in the prior quarter than this one. So, anyway, don't worry about it too much, because you have to kind of zoom out and look at the bigger picture of the market itself. Yes, commercial truck is a little bit slower, and we are affected more by it because we have a bigger presence in commercial truck.

Like in clean air, our exposure in the passenger vehicle side is, we don't have a very high market share, but we will be growing market share there as well, in passenger vehicles. But because of the slowdown or let's call it a lackluster performance in commercial trucks, that has affected our Q2 performance. But if you look at the H1 in totality, H1 is okay for commercial truck, clean air and powertrain, right?

So, my suggestion would be zoom out always for our kind of business, because we have long sales cycles, and usually one quarter doesn't tell the full story. Sometimes there's a lot of pull ahead, sometimes there's a pushback. In this case, like commercial truck, there was a pull ahead because of the legislative

on coming in on the AC cabins for commercial trucks.

Moderator: Thank you so much. Thank you. Ladies and gentlemen, in the interest of the time, that was the last question for today. I would like to hand the conference over to Roopali Singh for the closing comment. Thank you and over to you, Roopali ma'am.

Roopali Singh: Thank you, D anish. That concludes the Q&A session. The recording of this call will be available shortly on the company's website. Thank you all for your participation. We really appreciate that and have a good evening, please.

Moderator: Thank you, ma'am. Ladies and gentlemen, on behalf of Tenneco Clean Air India Limited, we thank you for joining today's conference call. This concludes this call. You may now disconnect your lines.

(This document has been edited to improve readability)

Call: Feb 2026

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Date: 20th February , 2026

To
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Scrip Symbol : TENNIND To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai – 400001
Scrip Code: 544612

Sub: Transcript of the Earnings Conference Call for Analysts and Investors held on Monday , February 16, 2026

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation to our intimation letter dated 11th February , 2026, we hereby submit the transcript of the Earnings Conference Call for Analysts and Investors held on Monday , 16th February , 2026 at 04:00 PM (IST) post declaration of results for Q3 FY2025 -26.

Further , the transcript is also being made available on the Company's website at :
<https://tennecoindia.com/investor-relations/> .

You are requested to kindly take the same on record.

Sincerely,
For Tenneco Clean Air India Limited
(Formerly known as Tenneco Clean Air India Private Limited)

Roopali Singh
Company Secretary and Compliance Officer
Membership No: A15006

Place: Gurugram

Encl: As above

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"Tenneco Clean Air India Limited
Q3FY26 Earnings Conference Call "
February 16, 2026

MANAGEMENT : MR. ARVIND CHANDRASEKHARAN – WHOLE -TIME
DIRECTOR AND CHIEF EXECUTIVE OFFICER –
TENNECO CLEAN AIR INDIA LIMITED
MR. MAHENDER CHHABRA – CHIEF FINANCIAL
OFFICER – TENNECO CLEAN AIR INDIA LIMITED
MS. ROOPALI SINGH – COMPANY SECRETARY AND
COMPLIANCE OFFICER – TENNECO CLEAN AIR INDIA
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Tenneco Clean Air India Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Ms. Roopali Singh, Company Secretary and Compliance Officer from Tenneco Clean Air India Limited. Thank you and over to you, ma'am.

Roopali Singh: Yes, thank you, Steve. Good evening, ladies and gentlemen. We welcome you to the earnings call of Tenneco Clean Air India Limited. Today we have with us Mr. Arvind Chandrasekharan, Whole Time Director and CEO of the company, and also Mahender Chhabra, the Chief Financial Officer.

A detailed presentation on the business and financial performance is available on company's website and on the website of the stock exchanges as well. We will begin with Mr. Chandra providing a business update followed by Mr. Chhabra covering the financial results. We expect the updates to take about 20 odd minutes. After that, we would open the floor for Q&A session of about 40 minutes.

Before we proceed, I would like to draw your attention to the cautionary statement that appears in the presentation. And with that, I would hand it over to Arvind.

Arvind Chandrasekharan: Thank you, Roopali. Good evening and thank you all for joining us for Tenneco Clean Air India's Q3FY26 earnings call. For us, this quarter was defined by robust execution. Execution that translated technology into customer adoption, strengthened our order book, and reinforced the leadership and relevance of our portfolio in a rapidly evolving Indian automotive market. In Q3, we delivered strong value added revenue growth of 15% year -over-year, alongside EBITDA growth of 25%, reflecting operating leverage and disciplined cost management. Our margins remained at healthy levels with EBITDA at 18.6%, underscoring the quality of earnings and the scalability of our operating model.

For profit after tax, we had a one -time impact of recently notified labour code, which required us to go back in time to calculate the full impact of statutory benefits as per the new definition. Due to this one -time impact, our PAT came out at 9.9%. However, without this, we would have been much better quarter -over-quarter, showing strong underlying business performance improvement. Our current ROCE levels are at 80% plus levels.

At Tenneco, our focus goes beyond manufacturing components. We engineer experiences that OEMs can bring to life, where technology, comfort, and performance come together to create meaningful differentiation for end consumers. A defining highlight this quarter was the strong validation of our technology leadership through the adoption of DaVinci DCx, a first -in-the-world advanced suspension system adopted by a leading Indian OEM for a next generation flagship SUV platform.

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With an estimated annual revenue potential of around INR2,200 million for this one program alone, this win demonstrates our ability to translate mechanical innovation into scalable customer relevant solutions. Our patented DCx reflects our commitment to India, bringing global suspension expertise tuned for local road conditions through a purely mechanical architecture that avoids the cost and complexity of software or electronics -heavy systems. This combination of performance, affordability, and speed -to-market positions DaVinci DCx as

a market-ready solution for all passenger vehicle segments including SUVs. It is also a total game changer and disruptive to the conventional mechanical dampers which still dominate

over

90% of passenger vehicles in India as OEMs are increasingly pushing ride quality as their top differentiator.

Alongside this win, we also secured a strategic Clean Air program win with a leading global commercial vehicle OEM based on a modular in-line BS6 aftertreatment system with an estimated annual revenue potential of around INR1,150 million. This program allowed the customer to retain its captive engine architecture while reducing overall system cost and it highlights our ability to combine engineering flexibility with the speed of execution. Importantly, this win was driven by close customer engagement, resident engineering support, and strong focus on first time-right validation. Capabilities that are increasingly critical as program timelines tighten. These achievements are not isolated. They reflect how our engineering and manufacturing capabilities are being translated into tangible customer outcomes across both Advanced Ride Technologies and Clean Air and Powertrain solutions, while our plants expand capacity to support future growth in the Clean Air business. Now, supporting the Clean Air growth trajectory, our Board has approved to develop a greenfield plant in North India, namely in Kharkhoda, Haryana, to strengthen proximity to the northern customer base and to support awarded programs across light vehicles, off-highway, and tractor segments. This project envisages INR710 million capex with an estimated start of production in Q3 FY27, further enhancing Tenneco's operational footprint and customer responsiveness.

We continue to hold strong leadership positions in our core segments, leading the market in India in Clean Air and Powertrain applications for commercial truck and off-highway OEMs and holding the number one position in shock absorbers for passenger vehicles. These positions have been built over decades of manufacturing excellence and continue to deepen as content per vehicle increases and program complexity rises.

From a broader industry perspective, trends remain supportive, with tighter emissions norms, rising expectations around comfort and safety, and a continued shift towards SUVs and premium platforms. At the same time, India's role as an export base is expanding. Against this backdrop, our portfolio across emissions, powertrain, and advanced suspension is well aligned with where OEM investment and differentiation are headed.

Before I hand over to our CFO, Mahender Chhabra, I want to touch briefly on our growth visibility. Our order book remains very strong and well diversified with exports now contributing

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to over 20% of the total order book. Importantly, this order book provides full 100% revenue coverage through FY 2028 and supports a clear double-digit CAGR visibility over the next three years, therefore vastly outperforming the market. You will recall from our red herring prospectus from last year that we had grown our value added revenues by 5.9% CAGR from FY23 to FY25. This new growth curve between FY25 and FY28 proves our tailwinds in content per vehicle, exports, and white space. Our order book is also well balanced across Clean Air, Powertrain, and Advanced Ride Technologies, giving us confidence in the sustainability and quality of our growth as we move forward. New tariff and duty reduction announcements by the US and EU will strongly improve the tailwinds to allow us to grow our exports further. We're talking about 50% tariffs down to 18% for the US and 3% to 8% range to zero for the EU.

With that, thank you once again for your time. I will now hand over to our Chief Financial Officer, Mahender Chhabra, who will walk you through the financial performance for Q3 and the 9MFY26.

Mahender Chhabra: Thank you, Arvind. Good evening, everyone, and thank you once again for joining us in today's call. I'll be taking you through the financial highlights

lights for the Q3FY26 and the 9MFY26 using

value added revenue (VAR) as the primary performance metric as it excludes pass-through substrate cost and more accurately reflects our underlying operating performance.

I'll start with Q3FY26. Revenue from operations stood at INR12,853 million, representing a 14.2% growth year-on-year. Value added revenue for the quarter was INR11,941 million, up by 14.7% year-on-year. It clearly demonstrates continued momentum driven by higher volumes and a favorable product mix.

Clean Air and Powertrain solutions recorded revenue of INR5,644 million, growing at the rate of 5.4%, while Advanced Ride Technologies delivered INR6,297 million, growing at the rate of 24.5%, supported by strong suspension demand and the program ramp-ups. EBITDA for the Q3FY26 was INR2,225 million, a healthy 24.8% year-on-year increase with EBITDA margins at 18.6% of value added revenue.

Margin performance during the quarter benefited from the operating leverage, our operating model P3, commercial actions, and effective cost management enabling us to deliver strong margins. Profit after tax for the quarter was INR1,188 million and I would like to mention here that this figure is after accounting for one -off spend related to new labour code, which came into effect from 21st November '25 to the extent of INR203 million.

Excluding this one -off impact, adjusted profit after tax margins remain aligned with underlying operating and EBITDA performance of the business at INR1,391 million with 11.7% of value added revenue.

Coming to 9MFY26 , we continue to deliver consistent growth with sustainable margins.

Revenue from operations for the 9MFY26 grew 8.1% year -on-year to INR38,515 million, while value added revenue increased 10.3% year -on-year to INR35,122 million, driven by higher volumes, increasing export contribution and a favorable product mix. EBITDA for the 9MFY26 stood at INR6,682 million, up by 12% year -on-year, while EBITDA margins at 19% of value

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added revenue supported by operating leverage, commercial actions and disciplined cost management.

Profit after tax for the 9MFY26 stood at INR4,376 million, reflecting a 6% year -on-year increase. Similar to Q3FY26 , profit after tax includes the impact of the one -time labour cost charge and the adjusted profitability remains healthy and consistent with operating performance.

From a capital efficiency perspective, returns remain strong with return on capital employed exceeding 80% for the 9MFY26 , reflecting disciplined execution, efficient capital deployment and robust operating cash generation. Our balance sheet metrics continue to remain healthy, supported by negative cash conversion cycle and effective working capital management.

On the revenue mix, exports continue to gain traction and now form a higher share of our order book compared to the domestic business, which structurally supports margins quality.

Importantly, as highlighted earlier, our order book provides 100% revenue coverage through FY 2028, offering clear medium term visibility and supporting a double -digit CAGR outlook for over the next three years.

As Arvind mentioned earlier, we are very excited about the new greenfield plant at Kharkhoda, Haryana, to support major passenger vehicle OEMs and OH and tractor OEMs. We believe that the capex investment of INR710 million will give us healthy fixed asset turnover ratio and in line with the consistent with our industry leading past performance.

To summarize, Q3 and 9MFY26 delivered strong revenue growth, margins, and strong capital efficiency. The combination of technology -led program wins, favorable mix, export momentum, and disciplined execution positions us well as we move into the final quarter of the financial year.

Thank you. With this, I now hand over the call back to Roopali.

Roopali Singh: Thank you, Arv

Arvind and Mahender. For the Q&A session, we would request the participants to kindly limit the questions to two at a time. If you have additional questions, please rejoin the queue. I would now request the moderator to please commence the Q&A session.

Moderator: Thank you very much. We will now begin the question and answer session. The first question comes from the line of Jinesh Gandhi with Oaklane Capital. Please go ahead.

Jinesh Gandhi: My question was on DaVinci suspensions. So, would it be fair to say it is closer to semi -active suspensions which are available in more premium vehicles?

Arvind Chandrasekharan: Thanks for your question. No, it's different in the sense that , it's a purely mechanical suspension.

It really has the best combination of affordability and performance in terms of ride quality. It has the shim stack discs that are arranged in a way that they allow selective hydraulic flow. So we don't really have any software or electronics like we have in the semi -active suspension, right?

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So it's think of it as the most affordable but the best ride quality across highways, uneven road surfaces, bumpy roads and even pot holes. It's got the best combination at an affordable price without having the complications of electronics, software, sensors, motors and so forth.

Jinesh Gandhi: And any sense of affordability vis -à-vis semi -active, so if semi -active is hundred , this would be what, about sixty, seventy index to semi -active?

Arvind Chandrasekharan: In fact, let me answer it in a different way. It's more like a you know 90% of passenger vehicles on Indian roads have conventional shock absorbers. So you could say that since India's independence we've mostly operated with pretty average or you know conventional shock absorbers. So if you were to go up from that level, right?

So from, if you had to convert every single passenger vehicle, cars, SUVs, even light commercial vehicles and some commercial trucks to go from conventional to this DaVinci suspension, the additional cost delta is really not much from at least the price that we charge OEMs, right?

That delta cost is literally the cost of a dinner for two at a five star hotel. I mean that that's what we're talking about here. So it is very affordable I think from an OEM standpoint, but in return for just that cost, you have now a much, much better performing suspension system that's on a vehicle for life and life means what fifteen, twenty years.

Jinesh Gandhi: Right, got it. And in that context, are you seeing very encouraged and higher level of inquiries from more OEMs beyond Mahindra? Because this obviously seems to be a game changer from suspension technology is concerned.

Arvind Chandrasekharan: Yes. The demand is fast and furious. Everybody recognizes that this is a game changer. So it's just not it's Mahindra, it's obviously many other, Indian and also Japanese, Korean OEMs, every everybody is interested in this technology because it's at the right cost range, but at the same time from a performance standpoint, from a ride quality, comfort standpoint, it's a completely different level.

And I urge you; I urge as many of you to come to our Hosur plant and actually try out the difference between a conventional suspension and the DaVinci suspension, right? So I think that's the game changer we're talking about. Because you know in India look, we are a very value conscious society. Yes, semi-active suspension is the way to go in the future. However, you know it does come at a certain price point because you've got complicated softwares, electronics and the integration of all that.

However, this suspension, you know pretty much gets you as close as possible to an electronic suspension. So, I think this is the nice kind of a mid to premium offering that covers a very, very large part of the Indian market.

Jin

esh Gandhi: Got it. And my second question is on your exports. So it's great to see 20% of order book from exports. Any color on how would be the end geographic mix of this 20% order book of from exports? The reason I'm asking this is considering the changes which are happening on the tariff side. EU obviously from 3% to 8% tariffs is now down to zero, hopefully in next 12 to 15 months.

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Could that be a very large market if it is already not sizeable portion of the export order book today?

Arvind Chandrasekharan: Yes. So good question. This has been the big game changer. So if I just back up a second, right? If you remember in our red herring prospectus, we had said that our exports as a percentage of sales was only 5%, right? So, we were not very comfortable with that, And the good news is our order book, like I said earlier is already coming in at 20% of the total order book, which is great news.

And another great news on top of that is it's nicely spread between Clean Air, Powertrain as well as ride technologies. So both the engine side and the chassis side of the business are seeing nice gains in exports.

In terms of regions, look now going forward things are going to change, right? Because now the US we have become very competitive because even from 50 dropped not to 25 but to 18, which is excellent from a competitiveness standpoint for us. Same thing with EU, some like bearings which used to have 8% duties are now to zero. So, both from a US and EU perspective, that's going to help our competitiveness as it comes to exports.

I think exports will see a much higher CAGR. Already exports the CAGR is very, very, very strong double digit growth. Right now, what we've booked so far you could say it's a good mix with Asia being the leading destination followed by US and Europe. But I think looking just at what we have order booked just in the last let's say few weeks, it's going to probably balance out much better.

And of course for the future because of the new tariff reduction announcements by the US and EU, it's going to get even better. So I think we're very excited. Again, these exports are not just to third party OEMs, they're also exports because we have better labour cost arbitrage, better competitiveness as we supply back to our Tenneco entities worldwide. Could be Tenneco Europe, could be Tenneco US as well.

Moderator: Thank you. The next question comes from the line of Jeemit Shah with Motilal Oswal Financial Services. Please go ahead.

Jeemit Shah: Thanks for taking my question. So for the past few days we've been hearing some news on the CAFE norms. So maybe there's a concession for the smaller cars coming in the CAFE 3 norms and even in TREM 5 there's a push on timeline according to couple of media articles. So just wanted to get some sense on what you are hearing from the OEMs and how does it negatively impact our visibility for growth in the Clean Air systems segment?

Arvind Chandrasekharan: So I think look, there are always rumors on push back etc across CAFE, TREM 5, even BS 7 as

you know . But from our standpoint we're not seeing that . We're seeing that OEMs really want to get ahead of the curve. And there's one main reason for that. And the reason for that is exports, right? OEMs are also very, very interested in exporting to South Africa, to back to Asia, to Japan, to Europe and so on.

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And you see examples of our Indian OEMs that are finding a lot of recent success with exports in various regions. So I think from that standpoint, if they have to export vehicles from a CAFE, from a CO2 standpoint, they have to be on par with the rest of the OEMs that operate in those regions.

And same thing for TREM 5. TREM 5 is a good example where tractors for example, if you want to export tractors to

other regions. And by the way, OEMs make much better profits overseas I assume, simply because I think that the market can adopt and accept a much higher price. So from that standpoint as well, we're seeing that there is no push back. In fact, there is more pull from us to say okay what else can you do? Can you make it more affordable? Can you package it better? Can you do it faster? So I think it's more the contrary I would say. It's just that OEMs really want to make sure that they are not the ones that are slowing anything down from an export standpoint. So they want to make sure that they are on par with the legislation, looking into their business as a global business.

Jeemit Shah: Also, just on the greenfield plant that we're looking to set up. What would be the asset turnover there? Sorry if you've already answered that, I just missed it.

Arvind Chandrasekharan: So typically, we say , again see this is theoretical because this is how we've operated in the last let's say 10 years or so, right? So for every rupee of capex invested, we typically this again gross block, right? So every rupee of capex invested gives us a steady state revenue of INR3.5 to INR4 rupees. Okay 1:4, right? On a net block basis we are more like 1:7 or 1:8, I would say. So we the number that that we've put in the press release is INR710 million, yes? So you can just take 3, 3.5 to 4 times that to say okay what at steady state, again because there is a little bit of a delay, right?

So the capex comes first and it takes about 18 to 24 months to full ramp up and so on. So it'll be 3, 3.5 to 4 times that number from standpoint of steady state revenue, but and over time as your capex assets depreciate, it would tend closer to the 1:7, 1:8 kind of range. Mahender, you want to add something?

Mahender Chhabra: Yes. No, that's right. I think so we're investing about INR710 million in this new greenfield and in terms of FAR ratio, it would be consistent with the current FAR that we have. It will take some time like Arvind mentioned. So let's say over the next 18 to 24 months once the ramp up happens, we should be close to the existing levels.

Jeemit Shah: Sure, got that. Also lastly, what would be the current value of the total order book that we have?

Arvind Chandrasekharan: Yes. So order book we decided we'll publish it every six months. So we did one the previous Q2. The next one if I can just ask you to ask me this question in about two and a half three months, that would be great. We will publish the order book for the second half of the year post the end of the financial year. So we'll do one every six months simply because it's not because we don't want to do it, it's just because they come in in these valleys and peaks.

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But I can assure you the last couple of months have been very, very good. So we're very chuffed, very happy about it. So and also by the way, the order book has been so good that we can like I said in my opening commentary, 100% of FY 2028 revenues have already been order booked. Have been booked meaning that gives us a very good visibility of a double -digit CAGR. So which means we're going to be growing in the next three years way faster, much, much faster than we grew in the last three years from FY23 to FY25.

Arvind Chandrasekharan: And this is domestic and export ..

Moderator: Thank you. The next question comes from the line of Ravi Gupta with InCred Capital. Please go ahead.

Ravi Gupta: Yes, so thanks for the opportunity and congratulations for the solid YoY growth. So my question for the precious metal , inflated precious metal prices. Given the elevated price of the precious metal, what technologies or design approach are OEMs exploring to reduce overall aftertreatment system cost and how you are supporting customers through material optimizations, alter native formulations or system re

designing to address this challenge?

Arvind Chandrasekharan: Yes. Good question. But this is an ongoing thing, right? I mean we always are partners with

OEMs to try and optimize the use of precious metals. Because obviously precious metals, there's a holding cost and obviously there's no consumer benefit, right? Consumers don't see the benefit other than the fact that it helps catalyze the conversion of harmful gases into inert gases, right? So that the function of the catalyst is that, right?

So obviously, our help to our customers is in multiple ways. Like you rightly said, it could be material grade choices, it could also be I think fundamentally the choice of how we design the mixer, right? So if the exhaust gases are able to mix better in a most optimized way to have maximum exposure to catalyst, then we can actually reduce the amount of platinum, palladium, rhodium loading, so as to still get the benefit from a NOx and a particulate matter standpoint, right?

So it's really and again I commend our very strong parentage, our global engineering folks based in the US, Europe as well as the strength of our applications engineering team here, who form an excellent team work with all the OEMs around the world. And also by the way, we also learn from other OEMs as to how they're doing it and we also are able to kind of make suggestions and advise OEMs on different ways to change the architecture in terms of packaging, in terms of routing of the gases, in terms of precious metal loading, also in terms of material grades, right?

So all of the above is something that we've been doing for a long time and of course this is our endeavour is to always ensure that we help the OEMs reduce the amount of loading and still be able to meet the legislation throughout the life of the vehicle.

Ravi Gupta: Got that. Second question is regard to the export one. So the EU India FTA progressing how do you see this impacting your business? Specifically, do you expect benefit through low cost

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imported component or it could increase the competitive intensity as global peers gain similar access to India market? What is your view?

Arvind Chandrasekharan: Yes. So like I said yes all of the above. There are certain components like bearings which attract a much higher tariff like 8% and that imagine 8% going down to zero, now we're able to be way more competitive on price, right? And the same thing for, sealings, ignition like spark plugs, so all those become much more competitive from a let's say a single plant out of India can be more competitive. And by the way these products like bearings, sealings, spark plugs are very small, right? And they travel really well.

So the logistics cost is almost nothing. You put many of these inside a little box and you're able to ship them for no additional cost. So wherever you have exports to Europe or the US, in this case your question was about Europe, in wherever there is an export to Europe involved with small parts that travel well, you can be 100% sure that we will be more competitive than anything that is equivalent in size in terms of but with the labour cost that comes from a western European country for example.

Moderator: Thank you. The next question comes from the line of Bhavika Jain with Niveshaay. Please go ahead.

Bhavika Jain: Thank you for taking my question. So my first question is on the capacity expansion side, as you mentioned that you have a strong order book visibility. Just wanted to know are we planning to do a major capex on the, like on the business side and especially what the current status of the capacity utilization?

Second question I have is related to the margin side. So basically, we have a two segments. So what's the margin of Clean Air segment and the Advanced Ride Performance segment?

Mahender Chhabra: Yes. Sure. So maybe I can cover the

second question first. So as far as BU-wise margins are concerned, as an organization we decided that we would be kind of sharing the margins at a console level, even though there is a margin differential between the two, but we would be sharing the margins at a console level.

On the second part regarding capex, yes, as we were operating at about 80% of the capacity and today with the volumes that we have, we are at about more than 90% of the capacity utilization. We would be kind of investing the capacity utilization because we are looking at a strong double-digit CAGR for the next three years, so we would be investing in the capex.

And one of that is already that we have already kind of announced, we would be putting up a new plant in Kharkhoda, Haryana, which will mainly take care of the Clean Air and Powertrain business.

Bhavika Jain: Okay. And as you say that you're like there is the investment is going to be a life. So when we can expect it to be optimally like when the capacity is going to be live and how we can see the ramp up situation?

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Mahender Chhabra: Yes. So as far as this new plant is concerned, like we would kind of start the investment within this quarter, and we should see the ramp up in Q3 FY27.

Moderator: Thank you. The next question comes from the line of Viraj with SIMPL. Please go ahead.

Viraj: Yes hi. Thanks for the opportunity. Just couple of questions. First is on the new suspension innovation we talked about. Can you just from a technicality point of view, can you just give some color why is it difficult for someone to offer similar solution in Indian context?

Arvind Chandrasekharan: Look we in India, Tenneco India, we have the advantage of having a very strong R&D backbone . The parentage is very strong . So we are already by the way, we're leading in suspension globally not just in India. In India we now have 52% of the market share, which means one out of two passenger vehicles has a Tenneco shock absorber in it already as of today. And we and we've gained in the last six , eight months also.

But the global story is not that far away, I mean we're also leading in in suspension technology globally, right? So the strength of our core R&D and you know coupled with the strength of our applications engineering team here in India, there are no companies in the world that have had have this combination, right?

We have the smartest engineers and again me coming from with a 30 year career across all regions I can assure you that this is one of the finest engineers I've ever met. Specifically, you know this DCx is patented, right? It's very unique because it uses t hink of like a Pringles, chips, potato chips stacked up, right? Something like that.

You have different discs, different materials all stacked up and so each of them selectively allow s for hydraulic flow in different conditions. So whether it's a straight road and you're making a sudden turn or you're going through a uneven surface or slightly bumpy surface or a sudden jerk after hitting a speed breaker or hitting a pothole, the advantage of this is that these discs are designed and each one operates slightly different way.

So and this is pure mechanical ingenuity, right? And it does it in a way that offers you optimal comfort across all vehicle conditions. And again we developed it in conjunction with the leading Indian OEM, which I guess you can Google and find out who that is, but this is very difficult to copy. One is , it's patented plus I think it's a lot of you know three, four years have gone to bring this into fruition.

It's not something that can be copied overnight. And so I think that's the way I would answer it, you know, combination of the smartest engineers, three, four years of development globally and also in India with excellent parentage and very, very close applications engineering

g work with a

leading Indian OEM has resulted in this technology.

Viraj: Okay. Second question is on suspension again. See if you see the trend broadly is we're seeing a premiumization in the Indian auto industry and just like other auto components, one would logically think that OEs over a period of time transition to something like semi -active or active.

But here you are, a global leader offering this solution which is a relatively a cheaper cost effective I would say solution to a semi -active.

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So is that push more driven from the OE or that the transition is not playing out as you think it should have in in terms of towards a semi -active, active? I mean any thoughts you can give the thinking behind this solution and what has driven it?

Arvind Chandrasekharan: Very very good question. Thanks for the question. See the OEMs, look at typical Indian OEMs, right? They cater to the A, B segments, then they cater to C segments and they're inching more and more towards more and more expensive vehicles, right? It's not f ar away where you'll have an Indian OEM launching a INR50 lakh vehicle. I think it it's just a matter of time, right?

So our job, right? As a supplier to OEMs, as a technology company, is to supply the entire range of segments for the OEM, right? And what this DCx does is sits nicely in the middle, in the middle meaning the big middle, right? Because over 90% of the shock absorbers across all passenger vehicles is conventional, the old boring stuff, let's just call it that. This thing sits nicely in the middle, and it covers a nice range of sub -segments, right?

So like ultra -premium category you would obviously go for the semi -active solution because you will you will need to have sensors, actuators and electronics that also talk to braking and steering and so on , in case you want to have let's call it a multi -layered experience like you see in you know premium vehicles, ultra -premium vehicles.

But this DCx technology is sort of like the middle ground where it straddles the entire let's call it the low cost affordable segment all the way up to the mid to let's say entry level premium segment. And this is what is the magic here because it's afford able, at the same time in terms of a performance improvement, I would strongly suggest that you experience both a typical conventional shock absorber and this DCx technology and you will see a huge difference.

So for that huge difference the delta price to be paid is very minimal. Like I said cost of a family

dinner at a five star hotel. But I think the point I'm making is that our job is to cater to every single segment. So when our Indian OEMs and also let's say Japanese, Korean OEMs come up with more and more premium vehicles, obviously we'll push them more towards the semi-active or even fully active suspension at some point, but this one is excellent because it doesn't add any incremental cost, at least the cost that we charge, the price that we charge the OEMs. But overall in terms of the improvement in performance, you can just Google, DCx DaVinci and you'll see there's tons of media reports on how good it is, right? And again, don't take my word for it, look at independent journalists, it's all over YouTube. In fact they are doing free marketing for us for Tenneco here and you know you can just go and check and see what they have to say about this DCx technology.

Viraj: Okay. So this basically would cover the XUV 700, 7XO both the platforms.

Arvind Chandrasekharan: In fact this thing is so good that we say it covers all the way from the A segments like the real small car, of course there is a certain bore size, so we don't want to go to like the real low end ones, maybe you could say B segment, C segment, D segment, so it covers all passenger cars, all SUVs and even commercial vehicles in terms of cabin dampers, axle dampers

and so on.

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So we can actually make a case that this will go beyond the typical let's say 5 million a year passenger vehicle market and it will also go into light commercial vehicles and also some medium to heavy duty trucks.

Viraj: Okay. I have one question on the Clean Air division. And this is more from export point of view. See I understand that tariff, incrementally you know post the FTA deals it's no longer a barrier it used to be. But if I have to keep that aside and just understand from a unit cost competitiveness point of view say of Tenneco India versus other emerging locations of Tenneco or with other Indian competitors, how would our cost position be?

Arvind Chandrasekharan: We believe at Tenneco at least for Clean Air your question was specific to Clean Air. We believe that our cost structure is highly optimized. And look at how the kind of margin improvement we've made, right? In the last three years. So, to FY23, FY24, FY25. 400 basis points of EBITDA improvement, which also again because Clean Air is nearly 50% of our business, the margin improvement again that's come through very, very strong cost cutting, right? Across all elements of the P&L.

Over 2 lakh ideas have gone through over the last three years and created a model that allows us to be very, very cost competitive. And secondly because we have this kind of a culture of constant continuous improvement, that thing doesn't stop by the way. Even now as I'm talking to you, there are people in the plants that are constantly they have challenger roles, their job is to keep taking cost out of the system, right?

Obviously and then labour costs advantage from an export perspective, India is very, very competitive. Also India is the best combination of a country that has low cost labour and also educated labour. Remember that India scales really well. We have the best access to, high quality engineers, operations people, quality engineers etcetera, etcetera. So that, that combination of low labour cost plus talent is what makes India special. And of course we're using that to our advantage.

Now, versus other competitors in India or elsewhere I don't want to comment on what they're doing, but all I'm saying is that we are in the best position to compete in India very well and also to compete globally because look at what has happened in the recent past.

In Q2, we announced that we made a strategic we made strategic inroads into the hot end with the gasoline particulate filter with a leading Japanese OEM which we didn't have access to before. So that certainly opens up puts us in the supplier panel of this major customer, right? So that allows us to grow our Clean Air market share further in India and of course overseas when it comes to exporting, components like end-cones, hydro-formed parts, SCR mixers, diesel particulate filters.

Because of this new reduction of tariffs between the US and India and also Europe and India, our products become more competitive. So the combination of, a culture of continuous improvement, heavy cost cutting, this is part of our culture, right? Secondly, the access to lowest cost labour but the and the smartest engineers. And thirdly and of course, the overall cost

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competitiveness improves and because of the tariff reductions it gets further heightened I would say our competitiveness.

Moderator: Thank you. Ladies and gentlemen, The next question comes from the line of Nitin from JM Financial. Please go ahead.

Nitin: Yes. Thanks for the opportunity and congratulations on great set of numbers. I have one specific question with regards to the Clean Air segment performance. In this quarter we've seen the ART grew around 24.5% YoY basis. However, the Clean Air system grew only 5.4% despite the underlying industry bo

th passenger vehicle and the commercial vehicle showing strong momentum. Could you please elaborate some of the reasons why was there underperformance from the Clean Air system?

Arvind Chandrasekharan: Yes. Sorry I hope , I understood the question. The question was Clean Air growth versus ART growth, right Nitin?

Nitin: Yes, yes. Especially when the underlying industry for the Clean Air like commercial vehicle and the passenger vehicle saw robust momentum post GST 2.0.

Arvind Chandrasekharan: Yes. So look because our Clean Air light vehicle or let's call it passenger vehicle presence is not so much in the lower displacement engines. And the GST impact from a positive impact perspective has actually benefited more the smaller displacement engines t hat go on A and B segment cars where we are not present for the majority with this leading Japanese OEM.

And that's one of the reasons why we didn't get the benefit of that. But that's only for the quarter, because over time if you look at SIAM or IHS, they're all predicting that this GST euphoria will die down after some time, so over the over the full year period that euphoria won't last, it'll come back to normal level.

So we think that our growth will in Clean Air will align itself to the market growth. And also a second thing I want to mention is that because we've got inroads, we've made inroads into the hot end at this leading Japanese OEM, that changes the game compl etely . So over the next eighteen to twenty -four months you'll see that business also ramping up and also more and more RFQs coming in from that particular OEM and that'll help us grow.

Also with recent strategic wins like we put in the Q3 press release strategic win at a European leading OEM truck customer commercial truck customer, there also we have consolidated our position. So our market share is already pretty high, right? In commercial trucks we're leading with 57% market share in off -highway it stands at 68%. But that has not stopped us, we're constantly growing and creeping up on market share and on the passenger vehicle side our market share has crept up and growing steadily.

And plus the export, see that's the thing going back to the earlier question. Our exports is really the order book is very, very strong right now in Clean Air. So that's the other thing that's helping our growth. So both from a domestic market share captur e, getting into white space, enjoying the benefits of content per vehicle because of either CAFE with like a gasoline particulate filter Tenneco Clean Air India Limited

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or with TREM 5 or with even let's say early versions of BS 7, we are benefiting from that. So content per vehicle, exports growth and also white space from a share of wallet capture.

Moderator: Thank you. The next question comes from the line of Viraj Sanghvi with Ambit Capital. Please go ahead.

Viraj Sanghvi : Thank you for the opportunity, sir. I just have one question in X of Clean Air solution the business we've seen almost 400 basis points EBITDA margin improvement on a YoY basis.

Could you highlight specific reasons for that and headroom that you have further in X of Clean Air solution for margin improvement? Thank you, sir .

Arvind Chandrasekharan: Sorry Viraj, I couldn't hear you properly. So your question was the 400 basis points improvement in EBITDA? Is that what it was? Was that your question? And the explanation?

Viraj Sanghvi : Yes, in X of your Clean Air solution the business the margin improvement of around 400 basis points on a YoY basis. Any color on that and what is the scope for further improvement over there?

Arvind Chandrasekharan: No, I think you misunderstood. I was talking about the overall business that is Clean Air, Powertrain and the Ride Technologies over the last three years with FY23 to FY25, right? So three years FY '23, '24, '25, those three years our overall EBITDA margi

n including Clean Air,

including Powertrain, including Ride Technologies, the EBITDA went up 400 basis points to the 18 plus percent level, right?

So what I'm trying to say is that post the acquisition by Apollo, the entire company, not just India but globally has gone on an EBITDA improvement spree focusing on factory level improvements. Just in India alone there were 200,000 ideas that went and of course some got rejected, some went in. So that kind of new continuous improvement culture has become part of our DNA.

And that still continues by the way, like I said every day there are people in challenger positions on continuous improvement who are constantly trying to work along the P&L. And again this means looking at raw material costs, looking at conversion costs, looking at fixed costs, looking

at commercial negotiations, looking at design changes, you know value analysis, value engineering, the whole chain.

And this was never part of the old company culture prior to 2022. So this is actually part of the of the new culture. And this is why I'm saying that I'm very comfortable in our competitiveness because as we get to become a higher margin company, we also have more freedom to play with selling price because we can be we can compete aggressively on just with domestic business as well as export business very competitively and still make our margins because of that culture that we've developed.

And again the advantage we have is our parentage, right? Because ideas flow in from all over the world. So we benefit from not just technology ideas but also from shop floor ideas. We have 180 manufacturing plants globally of which a twelve are part of this post -IPO entity Tenneco Clean Air India Limited

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Clean Air and we are able to share ideas as well as we are able to give out ideas that help all the other plants.

So that's why we're kind of I'm very comfortable in the fact that this allows us to stay competitive over time. Does that answer question? So it's a general answer that covers Clean Air and also Advanced Ride Technologies, but that answer covers all the products under that umbrella.

Viraj Sanghvi : It was sir. Thanks for that. Secondly just could you point out the capex till date in FY26 and a range for FY27?

Mahender Chhabra: Yes. So as far as FY26 is concerned, like we have announced this new plant in Kharkhoda, Haryana, with an investment of INR710 million INR. For FY27 we are working on the kind of budgets and on the assumptions and we would soon be sharing that guidance about the next year capex plans.

Moderator: Thank you. We have a follow -up question. It's from the line of Jeemit Shah with Motilal Oswal Financial Services. Please go ahead.

Jeemit Shah: Hi sir. Yes, thanks for taking my question again. Just one question largely on the exports front. A few days ago we saw this Trump administration coming and revoking the climate regulations and vehicle emission standards. So because you have some parentage and from the US as well couple of companies over there, is there anything a major shift in US markets that you are seeing which could lead to potential growth in the exports business for us?

Arvind Chandrasekharan: Jeemit can you repeat the first part of your question? What emissions legislation change? What are we talking about?

Jeemit Shah: So I think a few days ago , the President had revoked the basis of US climate regulations which ended some vehicle emission standards over there and there was some announcement on the EV tax benefits tax credits which the companies used to get over there. So if there's anything that you've heard from your US companies or any clients from there which has some incremental knowledge of what's happening over there how the OEMs are thinking about EV transition over there.

Arvind Chandrasekharan: Yes. So very good question. I'm glad you brought it up. See the

US has been and it's also got to

do with EV stories . EVs always had subsidies and that's the reason they were selling and now if you take the subsidies away, they don't become very attractive anymore, right? Or they become less attractive.

And you're seeing this trend in both the US and Europe where people are moving back , like they buy an EV and after two , three years then they realize that the selling the resale value drops dramatically because nobody wants to buy an electric vehicle with just 40% state of charge, right? And that prompted a lot of buyers to move back to the ICE world, right?

Which means either using petrol or a diesel engine, possibly hybrid so the hybridization has actually found more support there. And I think in China also they are starting to see I talked to my colleagues in Tenneco China, they're also seeing this slight kind of move to more like a Tenneco Clean Air India Limited

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compromise situation where it's neither full ICE nor full EV but like a hybridization like a either a plug -in or just like a mild hybrid, right?

This is great news for us because the whole point of Apollo's takeover of Tenneco three , four years ago was the contrarian strategy that EV is not going to completely rule the world and destroy everybody. It's never going to happen. Because there are so many things that are that run counter to EV success. For example China controls all the raw materials, right? And you have one country completely controlling that plus a lot of what happens if you know once you have to dispose of the lithium ion battery what happens there? What do you do with much reduced state of charge if after two years , what is the resale value?

There are so many and also charging infrastructure, right? So there are so many different complications and especially that are highlighted or heightened in in a country like India, right? So I think for us the announcement of Trump that he's going to move to coal I think recently just got an award or something just two days ago for that, this just means good news for us. It means more exports for us, more growth for us.

And again we're not going to shy away from constantly making sure that we work with the OEMs to keep making both petrol and diesel engines very efficient, right? Through strong aftertreatment systems etcetera. So we're constantly innovating working very closely with the OEMs on this. Does that answer your question Jeemit?

Jeemit Shah: Yes, so but nothing currently from your guys in the US, correct?

Arvind Chandrasekharan: Yes, because it's just two or three days old. In fact this just happened like a couple of days ago so we , but overall I think if that's the direction then I'm just saying at just based on the announcement it would mean good news for us.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Ms. Roopali Singh, Company Secretary and Compliance Officer from Tenneco Clean Air India Limited for closing comments.

Roopali Singh: Thank you Steve. Ladies and gentlemen , on management's behalf I would like to thank you for your continued interest in our company. We appreciate your time and participation and look forward to speaking with you again in the next quarter. Thank you and have a good evening.

Moderator: Thank you. On behalf of Tenneco Clean Air India Limited , we thank you for joining today's call.

This concludes the conference. You may now disconnect your lines. Thank you.

Call: Jun 2026

TENNECO CLEAN AIR INDIA LIMITED
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Date: June 9 , 2026

To
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051
Scrip Symbol : TENNIND To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai – 400001
Scrip Code: 544612

Sub: Transcript of the Earnings Conference Call for Analysts and Investors held on Wednesday , June 3 , 202 6

Dear Sir/Madam,

Pursuant to the provisions of Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation to our intimation letter dated May 31, 2026 , we hereby submit the transcript of the Earnings Conference Call for Analysts and Investors held on Wednesday, June 3, 2026 at 04:00 PM (IST) post declaration of results for the quarter and financial year ended March 31, 2026 .

Further, the transcript is also being made available on the Company's website at:
<https://tennecoindia.com/investor-relations/> .

You are requested to kindly take the same on record.

Sincerely,
For Tenneco Clean Air India Limited
(Formerly known as Tenneco Clean Air India Private Limited)

Roopali Singh
Company Secretary and Compliance Officer
Membership No: A15006

Place: Gurugram

Encl: As above

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"Tenneco Clean Air India Limited
Q4 & FY26 Earnings Conference Call "
June 03 , 2026

MANAGEMENT : MR. ARVIND CHANDRASEKHARAN – WHOLE -TIME

DIRECTOR AND CHIEF EXECUTIVE OFFICER –
TENNECO CLEAN AIR INDIA LIMITED
MR. MAHENDER CHHABRA – CHIEF FINANCIAL
OFFICER – TENNECO CLEAN AIR INDIA LIMITED
MR. HIMANSHU SHARMA – HEAD, INVESTOR
RELATIONS – TENNECO CLEAN AIR INDIA LIMITED

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June 03 , 2026
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General Business - Tenneco Confidential Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY26 Earnings Conference Call of

Tenneco Clean Air India Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Himanshu Sharma, Head Investor Relations of Tenneco Clean Air India Limited. Thank you, and over to you, sir.

Himanshu Sharma: Thank you, Aldrich. Good evening, ladies and gentlemen, and a warm welcome. Today we have with us Mr. Arvind Chandrasekharan, Whole-Time Director and CEO, and Mr. Mahender Chhabra, Chief Financial Officer. A detailed presentation on the business and financial performance is available on company's website and on the website of the stock exchanges. We will begin with Mr. Chandra providing a business update, followed by Mr. Chhabra covering the financial results. We expect the update to take around 15 minutes, after which we will open the floor for Q&A session of about 45 minutes. Before we proceed, I would like to draw your attention to the cautionary statements included in the presentation. With that, I now hand over to Arvind.

Arvind Chandrasekharan: Thank you, Himanshu. Good evening, everyone, and thank you for joining us for the Tenneco Clean Air India's Q4 and FY 2026 Earnings Call. I am very delighted to share that we have had the best ever year on a full year basis for our company.

I'm very happy to report that in this year, we doubled our value added revenue growth rate versus the prior three years, registered the highest ever EBITDA margin for our company, best ever ROCE, strong order booking, ending the year with a very strong balance sheet and zero debt. As we reflect on the past year, our record stock market listing this past November, we have once again revalidated the strength of the operating model we've been building over the last several years. A model that is resilient, diversified, and execution-led. The performance in the quarter and the full year under review demonstrates that this approach continues to deliver consistent growth and strong profitability even in a volatile operating environment.

For the full year, we delivered value added revenue growth of 12.3% year-over-year to INR49,180 million, supported by sustained traction across both business segments. EBITDA grew by 13.5% year-over-year to INR9,255 million.

Importantly, we achieved our highest ever EBITDA margin of 18.8%, expanding by 21 points over the last year. This margin progression from 14.3% in FY24 to 18.8% in FY26 reflects the cumulative benefits of our P3 operating model, driven operational discipline, improved costs absorption and timely commercial actions.

Turning to Q4, this quarter was particularly strong across all key metrics despite elevated geopolitical cost pressures. Value added revenues grew 17.5% year-over-year to INR14,058 million, while EBITDA increased 17.6% to INR2,573 million with EBITDA margin at 18.3%.

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General Business - Tenneco Confidential Profit after tax came in at INR1,668 million, up 18.8% year-over-year, with PAT margin at

11.9% reflecting continued operating leverage.

Now, beyond financial performance, I would like to highlight a few strategic and commercial developments that are central to our long-term growth story. Our focus on customer-centric execution and quality excellence continues to be recognized. In our Advanced Ride Technologies business, we were honoured to receive in this quarter the zero defect supplier award from

Toyota, reinforcing our position as a trusted high-quality partner to global OEMs.

A defining highlight this year was the strong validation of our technology leadership through the adoption of DCx DaVinci, a first in the world advanced mechanical suspension system using shim stacks. This was taken up by a leading Indian OEM for a next generation flagship SUV platform, and I am delighted to share that the scope of this is being further expanded with

multiple new DCx applications across other OEMs also.

Our patented DCx reflects our commitment to India, bringing global suspension expertise tuned for local road conditions through a purely mechanical architecture that avoids the cost and complexity of software or electronics-heavy systems. This combination of performance, affordability, and speed to market positions DaVinci DCx as a market-ready solution for all mid-to-premium passenger vehicle segments, including SUVs.

It is a total game changer and disruptive to the conventional mechanical dampers which still dominate over 90% of passenger vehicles in India as OEMs are increasingly pushing ride quality as their top market differentiator. Similarly, when it comes to the high-end premium PV segment, we continue to play a key leadership role with electronics-enabled semi-active suspension technologies.

Now, coming to Clean Air and Powertrain business, we won in Q4 a significant Clean Air program and achieved a strategic entry into the bearings systems business with a leading Japanese passenger vehicle OEM, marking entry into a previously untapped segment.

This year's big announcement earlier in Q2 was a big breakthrough win for our Clean Air business with a leading Japanese passenger vehicle OEM in India, marking entry into a previously untapped Clean Air segment at this customer.

This has opened our growth significantly in future years due to the significant market share that this particular OEM commands in India. Now, another strategic program was booked with a leading European commercial vehicle OEM in Q3 for a Clean Air aftertreatment solution tailored to customer specific cost and performance requirements.

Finally, just recently in Q4, the company completed a strategic proof-of-concept with a leading European truck OEM for a Euro 7 compliant Clean Air solution, thereby strengthening capabilities in advanced emissions technologies and readiness for future legislations and to further India as an export hub for the world. All of these developments underscore our ability to deepen customer relationships and unlock growth opportunities through technology differentiation.

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General Business - Tenneco Confidential Now, turning to order book, the momentum remains strong. As of March 31, 2026, our lifetime

order book stands at INR124,000 million after accounting for net additions and programs that commenced production this year. This provides 100% visibility of our FY 2028 internal revenue target and underpins a double-digit growth trajectory over the medium term.

Export order book has also been strengthened and will continue to grow as we add more technology-commercial talent in the regions this year. Now, to support the order book and growth forecast, we are making disciplined capacity investments.

Alongside our previously announced Clean Air facility in North India in Q3 FY26, we are now setting up a new greenfield Advanced Ride Technologies plant in West India. Together, these projects represent an announced capex of approximately INR1,400 million, ensuring we are well-positioned to meet future demand while maintaining operational efficiency.

Before I conclude, I would like to briefly reflect on our IPO journey. Our issue was oversubscribed 61.8 x, with qualified institutional buyers subscribing 174.8 x their allocation. Since the listing, our stock has delivered returns that outperform both the

BSE Sensex and the BSE Auto index.

Our IPO marks a significant milestone in the evolution of Tenneco Clean Air India Limited. It reflects years of focused execution, disciplined growth, and teamwork across the organization and the confidence our parent company and investors continue to place in Tenneco India's manufacturing capability, engineering depth, and long-term growth opportunity.

This achievement belongs to many people. To our tenacious teams across our plants, engineering centers and offices in the 12 locations who live the Tenneco Way culture every day; to our fantastic global leadership at Tenneco for backing this journey with conviction; and to you all, our dear investors, who chose to place your trust in us.

As a listed company, we continue to strengthen governance disciplines that support long-term performance and stakeholder trust. Our Board and committees have provided oversight across strategy, risk, compliance, internal controls, and operational performance. As we look ahead to FY27, we remain focused on building on this foundation.

With a strong order book, expanding capacity, and a disciplined operating framework, we are well-positioned to sustain profitable growth while continuing to create long-term value. With that said, I will now hand over to our Chief Financial Officer, Mahender Chhabra, to take you through the detailed financial performance. Thank you.

Mahender Chhabra: Thank you, Arvind, and good evening everyone. Let me briefly take you through our financial performance for Q4 and also for the full year FY26. As you know, we track our performance

using value added revenue, or VAR, as it excludes pass-through substrate costs and provides the most accurate view of our underlying operating performance and margins.

Let me start with Q4 FY26 first. We delivered a strong and well-rounded performance with growth across the business divisions. Revenue from operations grew 17.1% year-on-year to

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General Business - Tenneco Confidential INR15,524 million, while VAR increased 17.5% to INR14,058 million, supported by higher volumes and ramp-up of new programs.

At a business unit level, Clean Air and Powertrain Solutions grew 9.9% to INR6,905 million, while Advanced Ride Technologies continued its strong momentum, growing 26% to INR7,153 million. From a profitability standpoint, EBITDA increased 17.6% year-on-year to INR2,573 million with margins remaining stable at 18.3% of VAR, and this was despite the cost pressures arising from the geopolitical developments.

These pressures were effectively mitigated through timely commercial actions and ongoing operational efficiencies reflecting the discipline embedded in our operating model. Profit after tax grew 18.8% to INR1,668 million with margins improving to 11.9%, supported by operating leverage and higher other income.

Coming to the full year 2026, it reflects consistent growth alongside record profitability.

Revenue from operations grew 10.5% to INR54,040 million whereas VAR increased 12.3% to INR49,180 million. This was driven by volumes and the new program wins. At the segment level, Clean Air and Powertrain Solutions delivered INR24,296 million, growing 5.5%, while Advanced Ride Technologies delivered INR24,885 million, growing a strong 19.7% year-on-year continuing to outpace the broader market.

Importantly, EBITDA grew 13.5% to INR9,255 million with margins expanding to 18.8% of VAR, marking our highest ever full year EBITDA margin. This improvement has been driven by P3 led operational efficiencies, better fixed cost absorption and disciplined commercial recoveries. Over the past several years, we have focused on building a more resilient, efficient and scalable organization by embedding Tenneco's global P3 operating framework, People, Performance and Pride.

This standardized operating system defines how we run our plants

and distribution centres

globally, driving consistent execution, operational discipline, and adoption of industry best practices. By actively leveraging the P3 framework, the business is driving continuous improvement across safety, quality, delivery and cost while maintaining facilities that meet the highest global benchmarks. This disciplined approach underpins our ability to deliver best-in-class operating and financial performance and positions us well for sustainable long-term value creation.

Profit after tax for the year stood at INR6,044 million, up 9.3% year-on-year with margins at 12.3%. This includes the impact of a one-time labour code charge, which was partially offset by stronger operating performance and higher other income.

From a capital efficiency standpoint, FY26 has been a standout year. Return on capital employed improved significantly to 94%, up from 57% in FY25 reflecting both higher profitability and efficient capital utilization. Fixed assets turnover improved to 9.6 times from 8.4 times in FY25, while our cash conversion cycle remained strong at negative 23 days, highlighting continued discipline in working capital management.

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General Business - Tenneco Confidential Our balance sheet remains very strong. We are a debt-free company with a net debt-to-equity of

negative 0.4, providing ample financial flexibility. At the same time, we generated cash flow equivalent to 58% of EBITDA, and this is after investment of capex equivalent to INR1,150 million during the year.

Just to summarize, FY26 has been a milestone year for Tenneco Clean Air India. We have delivered double-digit growth, record margins, sharp improvement in capital efficiency and strong cash generation, all while continuing to invest for our future. Combined with a robust order book and disciplined capacity expansion, we enter FY27 with strong visibility and a resilient financial foundation. Thank you. With these now I hand it over back to Himanshu.

Himanshu Sharma: Thank you, Mahender. We request participants to kindly limit questions to two at a time. If you have additional questions, please re-join the queue. I now request Aldrich to commence the Q&A sessions.

Moderator: Thank you. We will now begin the question-and-answer session. Ladies and gentlemen, we will

wait for a moment while the question queue assembles. The first question comes from the line of Nishit Jalan with Axis Capital. Please go ahead.

Nishit Jalan: Yeah, hi. Good evening, everyone. And congratulations on great set of numbers and thank you for taking the, taking my question. Two questions. Firstly, you had talked about exports being part of the order book in the previous quarter. So just wanted to understand on exports side, how should we look at in terms of new order wins and ramp up, right? We had talked about scaling up exports quite substantially.

Can you give us some visibility as to how it will pan out over the next two to three years? And secondly, you have talked about new plants and some new orders that you have received on bearings side on commercial vehicle side. So just wanted to understand on timeline of execution of those orders and commissioning of the new plants. Yeah, these will be two questions from my side.

Arvind Chandrasekharan: First of all Nishit, thanks so much. Hope you're doing well. The first question on exports. Yes, so you know our current exports as a percentage of sales is very low. You know that, because we never had exports growth as a strategy in the past, right? So we're only at about 5% to 6% currently. But our order book, and you rightly pointed out that the order book for us is somewhere between 14% to 20%, right?

And that exports order book growth is both with moving business or exporting to third party OEMs and it's also exporting back to Tenneco entities, right? So Tenneco Europe, Te

nneco US

and so on. And there's a couple reasons for that.

One is technology equalization. So India is now equal in technology, whether you look at Clean Air exhaust systems or with shock absorbers, you know we have BS6 .2 with RDE, you know Europe has the same thing, Euro 6 with RDE, so the same essential products can be exported. On the shock absorber side, with the semi-active suspension, we can also export the same technology. So technology equalization is new and we are taking advantage of that.

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General Business - Tenneco Confidential The second reason is many of the OEMs from a China plus one diversification or let's call it

supply chain diversification standpoint are looking to India as a source for products, and we are also benefiting from that. And the third one is just the improving labour cost arbitrage, right? India's always been a source for lower cost, let us call it, best cost labour and also now is the currency that is depreciating is also makes our overall products more export-worthy or more competitive so to speak.

So yes, to answer your question, our exports are coming in way stronger than our current level of exports. And they're coming in very strong on both sides, by the way. They're coming in on very strong on the Clean Air Powertrain side and also on the shock absorber side. In fact, Clean Air, we're booking a lot of new business there for exports across the regions, and again, it's also covering multiple geographies, North, South America, Europe, and also Asia.

So clearly, exports is going to be a very key vector of growth for us beyond content per vehicle. To answer your second question on the new plant, yes, we've got two new plants that we announced, one in the last quarter and one in this quarter. Last quarter we announced was the Clean Air plant expansion in North of India to support, of course, our Japanese customers in the North as well as for commercial truck and off-highway customers.

The new plant we announced just recently is for West of India for shock absorbers and that's because the overall market itself is growing. Again, I can take names of Mahindra, Tata, they're all growing volumes, but at the same time, new technologies like D aVinci DCx as well as semi-active suspension, they're all growing as well.

So we're growing in volume because of the India Inc growth or the GDP growth, but we're also taking over market share, we're growing faster than the market, and that's the reason we're setting up a new plant. On the bearings side, we haven't still mentioned the actual value because this is just a significant entry, let's call it a strategic entry into this customer, but at some point, we will publish the exact numbers when they become available.

Will we set up a new plant for that? That still remains to be seen. We're still working out the capacity situation in our existing plants to see if we can accommodate in the existing location. But the point I want to make is that bearings, it was difficult to get into this particular customer bearings for a very long time, and the fact that we have been able to enter the supplier panel is very strategic for us, which means we can now grow with this Japanese customer in a bigger way.

This is the same story like we had in the earlier quarter where we got into the leading passenger vehicle OEM in India with a Clean Air product on the hot end, with the Gasoline Particulate Filter, which again opens the door for much faster growth for Clean Air starting late '27, '28 and onwards. I hope I answered your question, Nishit, yeah?

Nishit Jalan: Yeah, thanks for the detailed answer. Actually, what I also wanted to understand primarily was, yes, you are starting this plant and you've won these orders on both export and domestic. Just wanted to start to understand the timeline when these orders start or when do these plants commission?

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General Business - Tenneco Confidential And will export revenue ramp -up be more, will it happen in a smooth way over the next two to

three years or some of the orders are back -ended so the commissioning will be late, right? So will this six go to eight, ten, twelve? Or will you see exports being slightly back -ended increase in terms of mix of our revenues?

Arvind Chandrasekharan: Alright. So the timing, like we've started the work on setting up both the plants in North India and West India. We just got the board approval for the one in West India. And so those plants will take, you know, somewhere between six months to a year to commission and the volumes will start.

So I think the actual peak will happen somewhere in mid -28 to '29, you know, typically we have a one to three ratio of capex going to let's call it steady state revenue. So again, I can't eyeball it, but I would say it's somewhere between '28 to '29 when it starts peaking.

To answer sorry, your second question was about exports. Yeah, so exports, it's not front -ended or back -ended. I would say it's more middle -ended. So a lot of that exports start hitting the ground around 2028 timeframe, right?

So that's when we see a lot of the critical mass of exports hitting us. But it will start, I mean, it will already start ramping up around '27, '28 and then '29 onwards it will continue so, but like I said, our exports order book is coming in at a much higher rate than our current export sales through sales, overall sales.

Nishit Jalan: Okay. Thank you so much, Arvind.

Arvind Chandrasekharan: Thank you.

Moderator: Thank you. The next question comes from the line of Ravi with InCred Capital. Please go ahead.

Ravi: Yeah, thanks for the opportunity and congratulations on the set great set of numbers, team. So my question is regarding the car exhaust system. So can you talk about the car exhaust system content per vehicle versus commercial vehicle content per vehicle? And yeah, I understood that you are supplying to Japanese OEM. Are you in talk with any other OEM to supply this in future? And secondly, on this car exhaust system, is this similar for diesel, petrol, CNG or maybe for the hybrids? Or there is a differentiation among all these type of systems? Any colour on that? Thanks.

Arvind Chandrasekharan: Yeah. So on the content. I won't get into the actual numbers because it really varies because depending on the vehicle, depending on the gross vehicle weight and the engine displacement, they can vary a lot, even between one passenger vehicle to the other, right?

So I think I would just say that if the car exhaust, like a typical passenger vehicle exhaust system and again, by the way it also changes between diesel and petrol as you know, right? And also even within that there's a difference between hot end and the cold end. The hot end has all the aftertreatment and the cold end has the muffler etcetera, right?

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General Business - Tenneco Confidential So it's very hard to pinpoint, but roughly if I could just do it in terms of X to 2X to 3X, I would

say if the car typical passenger vehicle exhaust system is at X, a commercial system exhaust could be somewhere between 3X to 4X. In the case of something like a vehicle like a tractor, currently there is no exhaust aftertreatment, right? At some point when you add all of the particulate filter, SCR systems, and oxy -cats and so on, it can even go from X to 10X, right?

So it's hard to pinpoint a specific CPV, content per vehicle. but needless to say it could be a factor of 3X to 4X and all the way up to 10X. Some of the real low volume applications like construction equipment can be even like 10 to 15X because they really need very, very strong aftertreatment etcetera. So some of our aftertreatment

systems are very small and I'll come to

the second question in a second and some of the others for commercial vehicles and construction equipment are very, very intense in terms of also the kind of substrates and platinum, palladium, rhodium loading that they carry, they can be very, very significant.

To answer your second question, I think it's a very good question. Obviously, between diesel and petrol, you know that diesel requires a higher aftertreatment because of higher NOx and

particulate matter, so you need a diesel particulate filter, you need a n SCR system, sometimes you need EGR systems and so on.

So the hot end of diesel versus the hot end of petrol is a bit different, which means diesel has a higher content of hot end versus petrol. But now increasingly with gas direct injections on petrol engines, what's happening is they are forced to implement a particulate filter because the amount of particulates that come out of a gas direct injection, although it lowers your CO2 for CAFÉ purposes, it also increases the particulate matter and therefore petrol engines also are starting to have higher content s tarting 2027.

I think mid of 2027 is when the CAFE norms come out, right? So that shows you the difference between diesel and petrol. Talking about CNG and hybrid, for all of these, CNG, hybrid, they will need exhaust system. In fact, we don't think in terms of content there'll be any reduction or loss of content. In fact, for hybrid vehicles, because what happens is one is the aftertreatment, but you are essentially trying to improve the emissions performance and also manage sound in a very, very small space.

So hybrid vehicles actually can have the effect of taking our content from X to 1.5 to even 2X because now you might have to add an adaptive valve or some sort of an acoustic valve to manage the sound transition as the vehicle goes from an electric to a IC E mode, right?

So all of these now unless it's full EV, anything less than full EV and that's a great question also because remember that the markets in the US and Europe are sliding back from an EV to more of a compromise, right? They're going more to more of a what I would call a hybrid or a range extender solution.

And even in markets like China, you're seeing some signs that hybrid and let's call it compromise solutions between ICE and an EV are starting to take shape. For all of these compromise solutions, anything from a traditional ICE petrol, diesel engine all t he way up to just short of a Tenneco Clean Air India Limited

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General Business - Tenneco Confidential full EV, our Tenneco Clean Air business has a lot of potential in terms of content per vehicle.

That's the summary.

Ravi: Got it, right. And secondly, on the new suspension plant, is it for the new, are you adding new OEM for it or maybe it is for the existing clients? And what kind of suspension are you going to make? Is these for the conventional one or are you going to ma nufacture semi -active or maybe the higher ones? How is it to think about it?

Arvind Chandrasekharan: Yeah. So first of all, you know I'll just give you, just a overall summary, right? So for about 60, 70 years, India's only had one tuning, right? Which means one tuning fits all. So whether you're in a highway or in an uneven road or in a speed bump or a pothole, you only get one tuning. And that's been the case for 90% plus of the vehicles, even today, even today if you go out, most vehicles have the traditional shock absorber that for whatever reason never got premiumized. I mean, cars moved to SUVs, but the premiumization of SUVs never happened, right? But that's changing dramatically. And this is where Tenneco comes in, right? So we are now able to go to more frequency dependent damping, where depending on the road forces, we're able to use valves very creatively and hydraulics to control the flow of hydraulics in a way that

will have

non-linear damping, which means not one size fits all but different tuning depending on how the road conditions are, right?

So that's what DaVinci does. DaVinci has these shim stacks like wafers and aluminium discs on either side of a piston that will selectively allow hydraulics to flow in and out. And so depending on whether you're in a rough road or a pothole or a speed bump , which I guess in India, it's these are quite common, the vehicle responds very differently.

And that's, you know, well documented on the Mahindra 7XO, it's again don't take my word for it, you can check it on YouTube, on Instagram, I mean there's hundreds of influencers that have said wonderful things about this product. So for me, I look at this DaVinci DCx let us call it the ultimate mechanical suspension that is also affordable that will cover all the mid up to the premium range, maybe up to INR35 lakh MSRP.

But anything above that, INR35 lakh onwards, will be a candidate for the CVSA, which is the semi -active control valve suspension, which has electronics and software which is, which takes you the remaining 10% of the way. So in terms of comfort, the DaVinci takes you about 90%, 85%, 90% of the way with a small delta cost and the CVSA with electronics and software takes you all the way, maybe up to 98% in terms of comfort, right? So that's how we sort of segmented these products. So each product represents a different level of disruption at a different price segment. Does that answer your question?

Ravi: Okay, sir. Thank you. Yeah, that's all from my side. Thanks.

Moderator: The next question comes from the line of Radha Agarwal with Motilal Oswal Financial Services. Please go ahead.

General Business - Tenneco Confidential Radha Agarwal: Yeah, hello sir, thank you for the opportunity. Sir, firstly on the exports front, as per the agreement with the Tenneco parent company, can we export only to Tenneco Group entities or can we also export direct customers overseas as well?

Arvind Chandrasekharan: Yeah. So we have a very good arrangement with our Tenneco Group entities . So we are not there to compete with each other. In fact, we look at us, Tenneco India, as supporting Tenneco Europe and supporting Tenneco US for them to become more competitive . So we are quite happy to supply them child parts or sub -assemblies or even finished goods depending on what their needs are.

So we work in partnership with our Tenneco sister divisions. For example, there might be also customers and segments that the Tenneco group is not targeting and that happens, right? Sometimes they're focused on a specific segment and they're not interested in a certain other segment because of cost or profit reasons.

But we, Tenneco India, for us it works a lot better because our labour cost advantage over let's say a Tenneco Europe is much better, much stronger, so we are able to directly then with their permission, talk to the OEM directly and say, hey, here we are, we are competitive, this is the selling price and we can we can actually win business with their permission.

So we work very closely. We have very good regular cadence of export opportunities both from a third party OEM perspective as well as inter -company sales where we'll be selling child parts, sub-assemblies and even finished goods depending on what the needs are. So we're very flexible. I think flexibility is key and we come at this as partnership rather than direct competition.

Radha Agarwal: Understood. Secondly, you know on the suspensions business, you are not present in the two - wheeler. So I wanted to understand are there any plans to enter into this segment or do you think that this is a comparatively a low margin business hence you want to remain on the PV?

Arvind Chandrasekharan: Yeah, Radha, good question. So I think if I understood your question is like are you going to expand suspension beyond four wheelers, right?

Radha Agarwal: Yes, sir. And the margin for two -wheeler suspension versus four -wheeler.

Arvind Chandrasekharan: Yeah. So obviously, we are you know, we are a high margin company. You see from our EBITDA numbers, 18.8, these are pretty nice numbers for automotive sector. So we want growth, right? We do want growth, but growth has to be profitable growth. We so we're not going to directly jump at any opportunity that comes our way just because we are not at a certain in a certain segment or in a certain at a certain customer. So sometimes we have deliberately avoided in the past for example Clean Air, we've deliberately avoided two -wheelers or three - wheeler, you know, auto rickshaws and so on purely because it doesn't give us the right margin potential for us, right?

But having said that, we want to enter segments and markets and new customers using technology as our differentiation. And that's been the key, right? So we want to be able to, if we do enter let's say the two -wheeler market for Clean Air or for suspension , it will be something Tenneco Clean Air India Limited

General Business - Tenneco Confidential that brings something unique to that segment. So we don't have to play a commodity price game

because we're not that kind of a player, we are an MNC, right?

So we want to play in a in a segment where the customer is looking for some level of disruption, like you're seeing in the passenger vehicle for shock absorbers, right? So we're going to be very careful and meticulous about where we enter. We don't want to be, you know, once trying to cover all of the segments like two -wheelers, three -wheelers just because it's there.

We will be very careful in where we invest. Again, we are not just looking at organic but also looking at inorganic, we said during our pre -IPO and during our IPO and post that as well that we will be looking at M&A as well as other strategies to get into areas which also give us a good shot at good margins, yeah? I hope that answers your question, Radha.

Radha Agarwal: Yes sir, sure. Sir, last question if I may. The DRHP mentions that via localization, you want to increase your presence in CVs as this is a relatively underpenetrated category. So are you talking about the Clean Air divisions here and can you please elaborate a further on this point?

Arvind Chandrasekharan: So sorry, Radha, I missed Can you just repeat the question again? I heard something about localization. Can you finish the sentence again, please?

Radha Agarwal: Yes, sir. So there is a statement in the DRHP that mentions that via localization, the company wants to increase the presence in CVs because this is a relatively underpenetrated category. So is it fair to understand that you are talking about the Clean Air divisions here and or you know,

just wanted to you to elaborate a further on this point?

Arvind Chandrasekharan: Okay, so I still wasn't clear, but I think I understand your question. So look, localization is a very key element of our strategy, right? One is the new technology, of course, we have the luxury of several thousand patents that we have globally between the US, Europe and so on, so we're able to bring those patents to India and apply it in the Indian context, whether it's engine or vehicle architecture, and we're able to sell those to the our Indian India -based OEMs.

But localization is very important because that's where our profit margins come from. So we have on both the Clean Air, the shock absorber side, which is the ART, as well as Powertrain side, we do want to make sure that we are localized as much as possible, even with some of the critical components like for example pistons for shock absorbers, right? Those would be key localization strategies that we would pursue.

Currently, our localization is about 89%, 90% level, and we want

to keep that. Now, obviously

with new technology initially, we might be importing some of the sub-components and child parts from our sister divisions or some other suppliers, but we will make sure that we are consistent with our, you know, 90% localization strategy in the long term.

It may not happen the very next year, it will take some time, but new technologies once they start, you know, post germination, once they become established, the idea is to make sure that we slowly creep up to that 90% level of localization. So yes, the answer is yes, we want to localize as a key strategy for maintaining and sustaining our profits.

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General Business - Tenneco Confidential Radha Agarwal: Sir, actually it is mentioned that localization because CVs are relatively underpenetrated. So

here for CVs, are we talking about the Clean Air CVs or the suspension CVs?

Arvind Chandrasekharan: Yeah, so here when we say CVs, that that would be for Clean Air, yes. It wouldn't be for suspension because typically suspensions are for passenger vehicles only, although there is, you could argue that there is a demand for you know, DaVinci type suspension for cab dampers and you know, axle dampers and so on. But I think what you're referring to here and what that DRHP refers to is commercial vehicle for Clean Air Clean Air product.

Radha Agarwal: Understood sir. Thank you sir, all the best.

Moderator: Thank you. The next question comes from the line of Vipul Agrawal with HSBC Bank. Please go ahead.

Vipul Agrawal: Yeah, hi sir. Thanks for taking my question. So first question is on the margins part of the business. On the standalone margins, like it has improved by almost 200 bps, that's mostly from your Clean Air business despite the Clean Air business has, I would say, has a kind of lagged from the overall industry growth, like industry CV industry has grown by around 18%, but CV business had grown by around 10%, 11%. So maybe can you help us understand what are the key drivers for the margin expansion over here? Is it like seasonal or is it sustainable on quarter-on-quarter basis? How should we look at it?

Arvind Chandrasekharan: So, Vipul, first of all, good to see you, hear from you, Vipul. So you're talking about Clean Air growth or Clean Air margins?

Vipul Agrawal: Clean Air margins and growth both basically.

Arvind Chandrasekharan: So I'll kind of summarize and Mahender, you can add a little bit, yeah? So I think look, our Clean Air story, if you remember from I guess the IPO and subsequent quarters, right? Clean Air business for us is a high margin business, but we are not present in the number one PV OEM in India today, right?

So that automatically eliminates us from you know, two and a half million vehicles here, you could say. But that changes, right? In 2028, we have already secured entry into the supplier panel for this largest PV OEM in India, due to CAFE norms with a Gasoline Particulate Filter. So we're hoping that once we enter the panel, our growth will increase quite a bit, and we'll be able to do so with equal or better margins simply because it is a high-tech product, right? It's a new technology product, right?

Now, in terms of Clean Air growth year-over-year, you might argue that it's a bit tepid, but that's mainly because we've had some, you know, within OEM mix and between OEM mix issues. So we have not really lost any share of business versus the competition. What has happened is that within certain OEMs where we had strong market share, they have sold more of their lower-end SUVs versus the higher-end SUVs.

And in between OEMs, for example, there's a European OEM where they sold more electric vehicles rather than more ICE vehicles. So it's just a combination of factors where the mix has

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confidential changed at the vehicle level. So nothing has changed for us, right? We have not lost any competitive share versus some of our key adversaries or competitors, but overall the growth has been along the market, along with market volumes, minus the fact that we are not present in a certain passenger vehicle OEM.

And again, things like the GST benefit, which favoured this particular OEM, we were not part of, right? But that changes in the future, so '27, '28 onwards, '29 onwards, we do participate in this OEM. The other good news, right? The good news for Clean Air is that the addressable market, if you look at CAFÉ 3 and BS7, the addressable market is as much as 1,300 to 1,400 crores of additional content per vehicle.

So that's something that we're going to target and obviously, it's all, even our competitors will target that. But that tells you that there's a lot of runway still left in terms of content per vehicle for CAFÉ 3 and BS7. The other one is our export order book for Clean Air is coming to be very strong, it's also very profitable.

So the combination of higher export order book and the fact that the margins are better is helping us. So that's the growth story. In terms of margins, maybe Mahender can add more flavour to this, yeah. Thanks.

Mahender Chhabra: Thanks. So hi Vipul. So Vipul, like I mentioned in my opening comments, so if we look at we have built we have built more resilient, efficient and scalable organization with the help of the unique operating model that we have, P3, which is People, Pride and Performance.

And this P3 operating model runs across the BUs, be it Clean Air Powertrain or Advanced Ride Technology. And it really helps us how do we run our plants, how do we drive the efficiencies, how do we do the execution on the ground.

And by leveraging this framework, we are driving the continuous improvement across safety, quality and the cost. So yes, so our margins are kind of, are the result of the unique operating model that we have and hence we see improvement in the margins and we also expect these margins to remain stable.

Arvind Chandrasekharan: And just more, one more to add, Vipul, you know, if you remember during, you know, the road shows that we did and also all the meetings we've had about, you know, why is Tenneco a high margin company, right? And how is it that we have such a high return on capital employed, right? We have this operating model that we have over many, many years has become very standardized and modularized.

We are so flexible that any of our lines, let's take a Clean Air line, right? Any of our high speed canning lines can make multiple products. So I can make today in the same plant on the one line, I can make a passenger vehicle exhaust system or I can make a stationary gen-set or a gen-set exhaust system or I can make something for commercial truck, right?

And the other flexibility is I can have multiple plants run the same product. So the flexibility is so unique and everything is so standardized, you know, the Lego brick model that I mentioned Tenneco Clean Air India Limited

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General Business - Tenneco Confidential in the past as well. So Lego brick means you only have a few degrees of freedom and because

of that, that gives us a unique competitive advantage.

So we can run the individual Lego bricks of a system at very high capacity utilization and therefore it helps our ROCE but also helps our margin because now we're not deploying additional resources to validate individual parts, right? Everything is already pre-validated. All you're doing it like Lego, you're putting it together, forming a system and then you're giving it to the customer that's already pre-validated.

So the time to market is faster, the cost of that product is less, the margins are better, and of course, the capital efficiency is the highest. So this kind of model is what, is one of

the reasons

why we're able to perform at such high capital efficiency and also high margins. So I hope I answered the question in terms of the how the Clean Air business is growing and also how the margins are moving in the future, including the exports, yeah? Thanks.

Vipul Agrawal: That was really helpful, sir. Just second question is on the suspension demand, like in the 1.5-liter category, one of the mainstream OEM has launched a model with your suspension and it is gaining quite a traction and there's one more OEM coming next year. So are you seeing like this is competitive edge, which it gives a competitive edge to the OEMs? So do you see other OEMs are also approaching you faster than anticipated or what kind of ramp up or maybe a scaling up of the passive plus suspension you expecting in 1.5-liter category?

Arvind Chandrasekharan: Okay, so first of all, suspensions typically don't go with engine displacements, right? So they go with vehicle architecture and vehicle gross vehicle weight. So you would have a different suspension for cars versus SUVs, right?

Now, specific to your question on, you know, how things are going with DaVinci DCx, the what we call, at least we believe the world's best mechanical suspension that's also affordable and many, also again don't take our word for it, OEMs have talked about it. The traction is so good that we have three to four OEMs that are already interested in our product. And this covers other Indian OEMs, Japanese and also Korean OEMs they're all interested in our product, and also European OEMs.

So this product will find its way and we think our wish is to make this standard across the entire SUV range from a mid to let's call it the premium segment. You know that the India's market size for passenger vehicles is about five, five and a half million. So we are hopefully targeting somewhere about 50% of that to be able to disrupt. And like I said, the OEM interest has been very, very significant. And also purely because there's a lot of media buzz around it. There's, you know, social media buzz. Everybody's talking about it and the feedback is has been fantastic. And so I think that's what we're trying to capitalize on and of course, the new plant that we're setting up in West India is to also try and manage all of this additional volume, the volume growth with new technology but also just the basic commodity legacy product that's also growing with the growing Indian market. So we've got a double growth happening at the same time and that's why we think that business is going to grow pretty exponentially in the coming three to five years.

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General Business - Tenneco Confidential Vipul Agrawal: Thank you, thank you for the detailed answer. Just one last question if I can squeeze in. I'll try

my luck over here. So maybe what is the price increase an OEM will have to take or a structural change they may they might need to take while graduating from a passive OEM, passive suspension to a passive plus or your FDD suspension?

Like is it a major change they need to make in their chassis and overall system, or just maybe a simple facelift can also have your passive plus suspension? I'm just trying to understand for that if a OEM wants to upgrade its model to a passive plus suspension, does it really a very tough thing for them to do come up with a new platform or it can be done in the same existing platform as well with minor changes?

Arvind Chandrasekharan: Yeah. I think as long as they stay within the realm of mechanical suspension, I think the let's call it the envelope that's given to us, we are able to package the shock absorber damper etcetera, into the packaging environment that's given to us. So all the way from a conventional suspension to a frequency dependent damping all the way to let's say the DaVinci which is the upgrade, the next level

of that, we are able to package it relatively and that's why I'm saying, right?

This the beauty of the DaVinci, you know, the frequency dependent damping and the DaVinci, the shim stack, is that we respect the packaging environment. The delta cost is less from an upgrade standpoint. And the comfort level is significantly more, right? You're paying a lot less for a significant amount of additional comfort, right?

The problem happens when you have to go into electronics and software because it's not about the packaging environment, it's about routing, you know, wiring harnesses and cables, you know, you need ECUs, you need to now connect that to a central ECU, so that requires additional cabling and additional validation etcetera, right?

So that's why the cost delta going from a conventional to a let's call it the frequency dependent damping to the then to the electronics and software enabled suspension, that last prong delta is much higher because the packaging environment and the routing of the cables etcetera is could be challenged.

Vipul Agrawal: Thank you, thanks a lot for the detailed answer. That was really helpful. That's all from my side.

Arvind Chandrasekharan: Thank you, Vipul.

Moderator: The last question comes from the line of Pramod Amthe with InCred Capital. Please go ahead.

Pramod Amthe: Yeah, hi. Thanks for the opportunity. So the first question is with regard to exports, since it's a new business which is scaling up big time. How are you looking at the currency depreciation, does it stand in your books, will it be passed on to the parent? How are the contracts constructed for you?

Arvind Chandrasekharan: Well, hi Pramod. Thanks for your question. I think look, currency depreciation is actually a boon for India. It's bad in one sense because you have to import parts that might be more expensive, but like I said if you remember in one of my earlier answers, we're already pretty highly localized at a 89%, 90% level, we said that in our, you know, our IPO deck as well.

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General Business - Tenneco Confidential I think a depreciation of the rupee can also be a blessing in disguise. It makes our

products more

competitive, so I can actually lower my selling price and be able to export and be more competitive to a European OEM or a US OEM, right? So I look at it as something that benefits us. Our products become more competitive. And so I think the India Inc story which is the India as India for the world from an export standpoint.

So the India Inc story when the auto sector and specifically for Tenneco as the export hub for the world and also an export hub back for Tenneco, becomes more competitive. So I think that's the way I look at it. Mahender if you want to add something you're welcome, but I think I only see an overall benefit. We don't know where this currency is going to finally land and taper off, but I see this as an immediate 15% to 20% improvement in our ability to compete in the global market.

Mahender Chhabra: That's right, Arvind. So if we look at the current status, the way the rupee is, I think we are in an advantageous position as we realize more INR in terms of whatever we are exporting.

Pramod Amthe: I appreciate that for the future orders, but orders which you have disclosed now in terms order book, where does the currency as you deliver sits in your books or will it go to the customer or to the parent?

Arvind Chandrasekharan: Yeah. So look for all of these things, right? Even the Middle East situation, right? We have direct material and indirect material. So the direct material like, you know, steel, stainless steel, carbon steel, we have a clear escalator agreement with the OE Ms. So every quarter the prices are updated to the new commodity level, right?

So there we're fully covered. Indirect is where there is an issue, right? Because you got freight costs be

cause of the Middle East war, you've got this currency issue, you've got, you know, cost of plastics and rubber that have gone up, then you have LPG, CNG, crude oil. So what we're doing is what other auto suppliers are also doing, right? So we are collating, putting, bundling all of these costs together and in many cases we're going back to customers and seeking recoveries.

At the same time we are also trying to, and again recoveries for all of these categories including currency, and we're also at the same time trying to cut our costs, working on SG&A, we are trying to also improve our factory efficiencies through ideation, the P3 model that that Mahender talked about. But also for example, running equipment off of peak usage times.

So there are a lot of things that we are doing to try and also mitigate some of these costs. But yes, sometimes these do make for tough discussions with customers because a lot of these are not caused by us, right? These are all external factors and we have to get recovery for that.

Pramod Amthe: And the second question is with regard to CAFE 3 which will come for passenger vehicles next year. What type of changes you are been requested to do in aftertreatment and how does it if you can technically walk us through and what's the content per vehicle it can swing in for you guys? Purely for cars or SUVs.

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General Business - Tenneco Confidential Arvind Chandrasekharan: Yeah. So CAFE 3 is about CO₂, right? So which means, and there are a few ways to reduce

CO₂, right? One is to do light-weighting. So if, the lighter your vehicle, the lighter your parts, the less CO₂ your vehicle generates. So OEMs often come to us and say, hey, as part of running change or for this next platform, can you reduce weight? Can you look at different kinds of materials? Can we do something together? And we do that a lot with OEMs.

We work with them to try and reduce the actual physical weight of the exhaust system because you can imagine the exhaust system all the way from exhaust manifold to the muffler can become very, very heavy. So that's one area.

The other one is, and again by the way, if you don't meet CAFE 3, the penalties are quite high for because for every gram per kilometre of CO₂ you exceed, you have to multiply that with a the entire fleet. So it's a fleet level penalty, so OEMs don't want to get into that, right?

Now, diesel vehicles already have a CAFE advantage because diesel vehicles generate 30% less CO₂ than an equivalent petrol vehicle, right? So the issue mostly for CAFE 3 in terms of meeting the CO₂ targets is with petrol or gasoline vehicles, right?

Now, the problem is you can reduce your CO₂ with gas direct injection versus multi-port injection. So when you get into gas direct injection, you can you can reduce your CO₂ significantly and if you combine that with turbocharging, your CO₂ goes even lower. But the side effect of that is increased particulate matter, which means you have to add Gasoline Particulate Filter in the exhaust system.

So the hot end content for petrol goes up but the CO₂ goes down, right? So I think for us as a as Tenneco Clean Air, one of our advantages is that we are able to be very flexible. So depending on the kind of vehicle engine displacement, the vehicle architecture and the purpose that it's used for, whether it's a passenger vehicle, commercial truck or whatever, at least now speaking here in terms of passenger vehicles, we're able to offer different solutions in terms of aftertreatment.

So I think for us the content goes up from somewhere from X to 1.5, X to 1.3 to 1.5X. That gives us additional content, and we typically say that's another 300 crores to 400 crores addressable market for CAFE and the BS7 for us is another 1,000 or so. So a bout 1,300 crores to 1,400 crores addressable market we can go after in the next three to five year

S.

Pramod Amthe: Sure. Thanks, thanks for the detailed answer. All the best.

Moderator: Ladies and gentlemen, that brings us to the end of the question -and-answer session. I would now like to hand the conference over to Mr. Himanshu Sharma, Head Investor Relations for the closing remarks.

Himanshu Sharma: Thank you, Aldrich. Ladies and gentlemen, thank you for your continued interest in our company. We appreciate your time and participation and look forward to speaking with you again next quarter. Thank you and have a good evening.

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General Business - Tenneco Confidential Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Tenneco Clean Air India Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.